FIDELITY & GUARANTY LIFE HOLDINGS, INC.

Three and Nine Months Ended June 30, 2013 and June 30, 2012

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CONDENSED CONSOLIDATED BALANCE SHEETS
(In thousands)

	June 30, 2013	September 30, 2012
	(Unaudited)	(Audited)
ASSETS		
Investments:		
Fixed maturity securities, available-for-sale, at fair value	$ 15,695,782	$ 16,088,913
Equity securities, available-for-sale, at fair value	269,823	248,087
Derivative investments	227,382	200,667
Other invested assets	181,195	18,814
Total investments	16,374,182	16,556,481
Related party loans	120,346	150,069
Cash and cash equivalents	954,632	1,049,374
Accrued investment income	160,705	191,577
Reinsurance recoverable	3,772,873	2,363,083
Intangibles, net	434,824	273,543
Deferred tax assets	241,434	279,636
Other assets	60,485	42,067
Total assets	$ 22,119,481	$ 20,905,830
LIABILITIES AND SHAREHOLDER'S EQUITY		
Contractholder funds	$ 15,342,671	$ 15,290,475
Future policy benefits	3,576,180	3,614,788
Funds withheld from reinsurance liabilities	1,219,461	54,691
Liability for policy and contract claims	66,897	91,082
Debt	300,000	224,363
Other liabilities	525,149	646,705
Total liabilities	21,030,358	19,922,104
Shareholder's equity:		
Common stock	—	—
Additional paid-in capital	468,166	254,999
Retained earnings	448,182	294,245
Accumulated other comprehensive income	172,775	434,482
Total shareholder's equity	1,089,123	983,726
Total liabilities and Shareholder's equity	$ 22,119,481	$ 20,905,830

See accompanying notes to unaudited condensed consolidated financial statements.

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (UNAUDITED)
(In thousands)

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Revenues:				
Premiums	$ 18,783	$ 12,044	$ 46,505	$ 42,170
Net investment income	169,663	178,158	494,898	537,636
Net investment gains (losses)	96,097	(12,906)	449,212	254,616
Insurance and investment product fees and other	13,509	8,922	41,081	28,161
Total revenues	298,052	186,218	1,031,696	862,583
Benefits and expenses:				
Benefits and other changes in policy reserves	99,022	140,990	403,354	559,702
Acquisition and operating expenses, net of deferrals	21,927	18,790	66,008	98,479
Amortization of intangibles	84,620	26,880	208,811	111,979
Total benefits and expenses	205,569	186,660	678,173	770,160
Income (loss) before interest expense and income taxes	92,483	(442)	353,523	92,423
Interest expense	5,832	5,874	14,799	17,571
Income tax	26,140	(483)	111,787	11,833
Net income (loss)	$ 60,511	$ (5,833)	$ 226,937	$ 63,019
Supplemental disclosures:				
Total other-than-temporary impairments	$ (716)	$ (2,406)	$ (1,649)	$ (21,317)
Less non-credit portion of other-than-temporary impairments included other comprehensive income	—	81	—	(1,530)
Net other-than-temporary impairments	(716)	(2,487)	(1,649)	(19,787)
Gains on derivative instruments	70,394	(51,134)	221,335	82,648
Other realized investment gains	26,419	40,715	229,526	191,755
Total net investment gains (losses)	$ 96,097	$ (12,906)	$ 449,212	$ 254,616

See accompanying notes to unaudited condensed consolidated financial statements.

CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (UNAUDITED)
(In thousands)

	Three Months Ended		Nine Months Ended	
	June 30, 2013	**June 30, 2012**	**June 30, 2013**	**June 30, 2012**
Net Income (loss)	60,511	(5,833)	226,937	63,019
Other Comprehensive income (loss):				
Unrealized investment (losses) gains:				
Change in unrealized investment (losses) gains before reclassification adjustment	(562,210)	168,530	(381,722)	454,793
Net reclassification adjustment for (losses) gains included in net income	(35,265)	(41,920)	(281,805)	(175,658)
Changes in unrealized investment (losses) gains after reclassification adjustment	(597,475)	126,610	(663,527)	279,135
Adjustments to intangible assets	210,658	(61,254)	260,947	(92,527)
Changes in deferred income tax asset/liability	135,386	(22,874)	140,904	(65,357)
Net unrealized (loss) gain on investments	(251,431)	42,482	(261,676)	121,251
Non-credit related other-than-temporary impairment				
Changes in non-credit related other than-temporary impairment	—	81	—	(1,530)
Adjustments to intangible assets	(17)	(5)	(44)	598
Changes in deferred income tax asset/liability	5	(27)	14	326
Net non-credit related other than-temporary impairment	(12)	49	(30)	(606)
Net changes to derive comprehensive (loss) income for the period	(251,443)	42,531	(261,706)	120,645
Comprehensive (loss) income	(190,932)	36,698	(34,769)	183,664

See accompanying notes to unaudited condensed consolidated financial statements.

CONDENSED CONSOLIDATED STATEMENT OF SHAREHOLDER'S EQUITY
(In thousands)

	Contributed Capital	Retained Earnings (Accumulated Deficit)	Accumulated Other Comprehensive Income	Total Shareholders' Equity
Balance at September 30, 2011	$ 254,836	$ 8,289	$ 159,493	$ 422,618
Net income	—	285,956	—	285,956
Other comprehensive income:				
Non-credit related other than temporary impairment	—	—	(1,529)	(1,529)
Unrealized investment gains, net	—	—	276,518	276,518
Comprehensive income				560,945
Stock compensation	163	—	—	163
Balance at September 30, 2012	$ 254,999	$ 294,245	$ 434,482	$ 983,726
Net income	—	226,937	—	226,937
Other comprehensive income:				
Unrealized investment gains, net	—	—	(261,707)	(261,707)
Comprehensive income				(34,770)
Stock compensation	(163)	—	—	(163)
Debt to equity conversion	213,330	—	—	213,330
Dividend payment	—	(73,000)		(73,000)
Balance at June 30, 2013 (unaudited)	$ 468,166	$ 448,182	$ 172,775	$ 1,089,123

See accompanying notes to unaudited condensed consolidated financial statements

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)
(In thousands)

	Nine Months Ended	
	June 30, 2013	June 30, 2012
Cash flows from operating activities:		
Net income	$ 226,937	$ 63,019
Adjustments to reconcile net income to net cash provided by (used in) operating activities:		
Net recognized gains on investments	(449,212)	(254,616)
Amortization of intangible assets	208,811	111,979
Depreciation of properties	2,898	—
Stock based compensation	3,384	106
Amortization of debt issuance costs	846	—
Amortization of fixed maturity discounts and premiums	24,353	67,881
Deferred income taxes	179,120	10,761
Deferral of policy acquisition costs	(109,188)	(157,620)
Interest credited/index credit to contractholder account balances	300,579	414,750
Charges assessed to contractholders for mortality and administration	(23,914)	(10,394)
Cash received (transferred) to reinsurers	15,000	(176,770)
Changes in assets and liabilities:		
Reinsurance recoverable	(361)	(51,187)
Accrued investment income	30,875	23,348
Future policy benefits	(38,607)	4,521
Funds withheld from reinsurers	(363,107)	—
Liability for policy and contract claims	(24,185)	56,542
Other operating	138,062	86,580
Net cash provided by operating activities	122,291	188,900
Cash flows from investing activities:		
Proceeds from investments, sold, matured or repaid:		
Fixed maturities	6,994,245	4,113,548
Equity securities	57,805	95,073
Derivative investments and other invested assets	217,373	90,031
Cost of investments acquired:		
Fixed maturities	(7,184125)	(3,713,966)
Equity securities	(82,116)	(41,594)
Derivative investments and other invested assets	(268,750)	(105,964)
Related party loans	29,721	—
Capital expenditures	(3,040)	—
Net cash provided by (used in) investing activities	(238,887)	437,128
Cash flows from financing activities:		
Contractholder account deposits	1,072,694	1,736,023
Contractholder account withdrawals	(1,247,645)	(1,505,408)
Repayment of subordinated debt	(20,000)	(95,000)
Repayment on note payable	—	(20,000)
Dividend payment	(73,000)	—
Proceeds from issuance of new debt	300,000	—
Debt issuance costs	(10,195)	—
Net cash used in financing activities	21,854	115,615

Change in cash & cash equivalents	(94,742)	741,643
Cash & cash equivalents at beginning of year	1,049,374	816,007
Cash & cash equivalents at end of year	$ 954,632	$ 1,557,650
Supplemental disclosures of cash flow information		
Interest paid	$ 38,161	$ —
Income taxes paid	2,683	—
Non-cash financing activity:		
Conversion of notes payable to additional paid in capital	$ (213,330)	$ —

(1) Basis of Presentation and Nature of Operations

The accompanying financial statements include the accounts of Fidelity & Guaranty Life Holdings, Inc. (“FGL”), a Delaware corporation, which is a direct, wholly-owned subsidiary of Harbinger F&G, LLC ("Harbinger F&G" or “HFG”). FGL is a provider of annuity and life insurance products in the United States of America.

These condensed consolidated interim financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“US GAAP”) without audit. The condensed consolidated financial statements reflect all adjustments that are, in the opinion of management, necessary for a fair statement of such information. All such adjustments are of a normal recurring nature. Although the Company believes that the disclosures are adequate to make the information presented not misleading, certain information and footnote disclosures, including a description of significant accounting policies and risk factors normally included in financial statements prepared in accordance with US GAAP, have been condensed or omitted. These unaudited condensed financial statements should be read in conjunction with the Company's audited consolidated financial statements and notes thereto for the year ended September 30, 2012 included within the Offering Memorandum dated March 22, 2013. The results of operations for the three months ended June 30, 2013 are not necessarily indicative of the results for any subsequent periods or the entire fiscal year ending September 30, 2013.

Dollar amounts in the accompanying footnotes are presented in thousands, unless otherwise noted.

(2) Significant Accounting Policies and Practices

Principles of Consolidation

The accompanying condensed consolidated financial statements include the accounts of FGL and all other entities in which FGL has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

Recent Accounting Pronouncements Not Yet Adopted

Offsetting Assets and Liabilities

In December 2011, the FASB issued amended disclosure requirements for offsetting financial assets and financial liabilities to allow investors to better compare financial statements prepared under US GAAP with financial statements prepared under International Financial Reporting Standards. The new standards are effective for the Company beginning in the first quarter of its fiscal year ending September 30, 2014. The Company is currently evaluating the impact of this new accounting guidance on the disclosures included in its consolidated financial statements.

(3) Significant Risks and Uncertainties

Use of Estimates

The preparation of financial statements in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Due to the inherent uncertainty involved in making estimates, actual results in future periods could differ from those estimates.

The Company's significant estimates which are susceptible to change in the near term relate to (1) recognition of deferred tax assets and related valuation allowances (see Note 10), (2) fair value of certain invested assets and derivatives including embedded derivatives (see Notes 4 and 5), (3) other-than-temporary impairments of available-for-sale investments (see Note 4), (4) amortization of intangibles (see Note 7), and (5) estimates of reserves for loss contingencies, including litigation and regulatory reserves (see Note 11).

Concentrations of Financial Instruments

As of June 30, 2013, the Company's most significant investment in one industry, excluding treasuries, was its investment securities in the banking industry with a fair value of $1,944,618, or 11.8% of the invested assets portfolio. The Company's holdings in this industry include investments in 78 different issuers with the top ten investments accounting for 34.9% of the total holdings in this industry. As of June 30, 2013 and September 30, 2012 the Company had investments in 10 and 13 issuers that exceeded 10% of stockholders equity with a fair value of $1,321,088 and $1,625,900, or 8% and 9.8% of the invested assets portfolio, respectively. Additionally, the Company's largest concentration in any single issuer as of June 30, 2013 and September 30, 2012 had a fair value of $156,913 and $152,876 or 1.0% and 0.9% of the invested assets portfolio, respectively.

Concentrations of Financial and Capital Markets Risk

FGL is exposed to financial and capital markets risk, including changes in interest rates and credit spreads which can have had an adverse effect on FGL's results of operations, financial condition and liquidity. As discussed further in the following paragraph regarding risk factors, the Company expects to continue to face challenges and uncertainties that could adversely affect its results of operations and financial condition.

The Company's exposure to interest rate risk relates primarily to the market price and cash flow variability associated with changes in interest rates. A rise in interest rates, in the absence of other countervailing changes, will decrease the net unrealized gain position of the Company's investment portfolio and, if long-term interest rates rise dramatically within a six to twelve month time period, certain of the Company's products may be exposed to disintermediation risk. Disintermediation risk refers to the risk that policyholders may surrender their contracts in a rising interest rate environment, requiring the Company to liquidate assets in an unrealized loss position. This risk is mitigated to some extent by the high level of surrender charge protection provided by the Company's products.

Concentration of Reinsurance Risk

The Company has a significant concentration of reinsurance with Wilton Reassurance Company ("Wilton Re") (see Note 12) and Front Street Re (see note 12) that could have a material impact on the Company's financial position in the event that Wilton Re and Front Street Re fail to perform their obligations under the various reinsurance treaties. As of June 30, 2013 the net amount recoverable from Wilton Re was $1,267,178 and the net amount recoverable from Front Street Re is $1,401,874. FGL monitors both the financial condition of individual reinsurers and risk concentration arising from similar geographic regions, activities and economic characteristics of reinsurers to reduce the risk of default by such reinsurers.

(4) Investments

The Company's debt and equity securities have been designated as available-for-sale and are carried at fair value with unrealized gains and losses included in accumulated other comprehensive income ("AOCI"), net of associated adjustments for value of business acquired ("VOBA"), deferred acquisition costs ("DAC") and deferred income taxes. The Company's consolidated investments at June 30, 2013 and September 30, 2012 are summarized as follows:

	June 30, 2013			
	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value and Carrying Value
Available-for-sale securities				
Asset-backed securities	$ 1,533,651	$ 25,938	$ (4,603)	$ 1,554,986
Commercial mortgage-backed securities	496,448	28,103	(652)	523,899
Corporates	10,008,794	367,462	(163,528)	10,212,728
Equities	265,153	9,227	(4,557)	269,823
Hybrids	483,618	27,737	(3,064)	508,291
Municipals	1,005,177	59,103	(27,412)	1,036,868
Agency residential mortgage-backed securities	108,680	2,663	(360)	110,983
Non-agency residential mortgage-backed securities	1,274,834	88,428	(9,262)	1,354,000
U.S. Government	391,497	6,380	(3,850)	394,027
Total available-for-sale securities	15,567,852	615,041	(217,288)	15,965,605
Derivative investments	140,609	95,305	(8,532)	227,382
Other invested assets	183,822	—	(2,627)	181,195
Total investments	$ 15,892,283	$ 710,346	$ (228,447)	$ 16,374,182

	September 30, 2012			
	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value and Carrying Value
Available-for-sale securities				
Asset-backed securities	$ 1,010,938	$ 18,553	$ (1,609)	$ 1,027,882
Commercial mortgage-backed securities	520,043	36,178	(2,407)	553,814
Corporates	10,211,804	807,175	(9,968)	11,009,011
Equities	237,499	11,860	(1,272)	248,087
Hybrids	519,009	18,836	(9,550)	528,295
Municipals	1,083,231	141,854	(1,090)	1,223,995
Agency residential mortgage-backed securities	149,455	5,769	(334)	154,890
Non-agency residential mortgage-backed securities	629,122	35,799	(4,262)	660,659
U.S. Government	917,452	12,915	—	930,367
Total available-for-sale securities	15,278,553	1,088,939	(30,492)	16,337,000
Derivative investments	142,123	66,973	(8,429)	200,667
Other invested assets	18,814	—	—	18,814
Total investments	$ 15,439,490	$ 1,155,912	$ (38,921)	$ 16,556,481

Included in other comprehensive income were cumulative unrealized gains of $851 and unrealized losses of $1,880 related to the non-credit portion of other-than-temporary impairments on non-agency residential mortgage-backed securities ("RMBS") at June 30, 2013 and September 30, 2012, respectively. The structured security write downs

represent additional write downs on securities that were previously impaired. There have been no impairments or write downs on any of the recently purchased non-agency RMBS securities.

Securities held on deposit with various state regulatory authorities had a fair value of $19,563 and $20,692 at June 30, 2013 and September 30, 2012, respectively.

The amortized cost and fair value of fixed maturity available-for-sale securities by contractual maturities, as applicable, are shown below. Actual maturities may differ from contractual maturities because issuers may have the right to call or pre-pay obligations.

	June 30, 2013	
	Amortized Cost	Fair Value
Corporate, Non-structured Hybrids, Municipal and U.S. Government securities:		
Due in one year or less	$ 394,485	$ 397,980
Due after one year through five years	2,874,119	2,937,230
Due after five years through ten years	3,468,286	3,528,764
Due after ten years	5,092,918	5,225,930
Subtotal	11,829,808	12,089,904
Other securities which provide for periodic payments:		
Asset-backed securities	1,533,651	1,554,986
Commercial mortgage-backed securities	496,448	523,899
Structured hybrids	59,278	62,010
Agency residential mortgage-backed securities	108,680	110,983
Non-agency residential mortgage-backed securities	1,274,834	1,354,000
Total fixed maturity available-for-sale securities	$ 15,302,699	$ 15,695,782

The Company's available-for-sale securities with unrealized losses are reviewed for potential other-than-temporary impairments. In evaluating whether a decline in value is other-than-temporary, the Company considers several factors including, but not limited to the following: (1) the extent and the duration of the decline; (2) the reasons for the decline in value (credit event, currency or interest-rate related, including general credit spread widening); and (3) the financial condition of and near-term prospects of the issuer. The Company also considers the ability and intent to hold the investment for a period of time to allow for a recovery of value.

The Company analyzes its ability to recover the amortized cost by comparing the net present value of cash flows expected to be collected with the amortized cost of the security. For mortgage-backed and asset-backed securities, cash flow estimates consider the payment terms of the underlying assets backing a particular security, including interest rate and prepayment assumptions, based on data from widely accepted third-party data sources or internal estimates. In addition to interest rate and prepayment assumptions, cash flow estimates also include other assumptions regarding the underlying collateral including default rates and recoveries, which vary based on the asset type and geographic location, as well as the vintage year of the security. For structured securities, the payment priority within the tranche structure is also considered. For all other debt securities, cash flow estimates are driven by assumptions regarding probability of default and estimates regarding timing and amount of recoveries associated with a default. If the net present value is less than the amortized cost of the investment, an other-than-temporary impairment is recognized. The Company has concluded that the fair values of the securities presented in the table below were not other-than-temporarily impaired as of June 30, 2013.

The fair value and gross unrealized losses of available-for-sale securities, aggregated by investment category, were as follows:

	June 30, 2013					
	Less than 12 months		12 months or longer		Total	
	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses
Available-for-sale securities						
Asset-backed securities	$ 300,559	$ (4,100)	$ 77,578	$ (503)	$ 378,137	$ (4,603)
Commercial-mortgage-backed securities	28,715	(287)	32	(365)	28,747	(652)
Corporates	3,133,452	(142,409)	396,024	(21,119)	3,529,476	(163,528)
Equities	90,914	(3,152)	33,924	(1,405)	124,838	(4,557)
Hybrids	75,353	(2,493)	40,671	(571)	116,024	(3,064)
Municipals	350,949	(21,446)	101,413	(5,966)	452,362	(27,412)
Agency residential mortgage-backed securities	2,517	(25)	6,282	(335)	8,799	(360)
Non-agency residential mortgage-backed securities	255,513	(7,972)	69,171	(1,290)	324,684	(9,262)
U.S. Government	198,909	(3,850)	—	—	198,909	(3,850)
Total available-for-sale securities	$ 4,436,881	$ (185,734)	$ 725,095	$ (31,554)	$ 5,161,976	$ (217,288)

Total number of available-for-sale securities in an unrealized loss position less than twelve months	537
Total number of available-for-sale securities in an unrealized loss position twelve months or longer	106
Total number of available-for-sale securities in an unrealized loss position	643

	September 30, 2012					
	Less than 12 months		12 months or longer		Total	
	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses
Available-for-sale securities						
Asset-backed securities	$ 169,794	(1,042)	7,533	(567)	177,327	(1,609)
Commercial-mortgage-backed securities	813	(853)	10,716	(1,554)	11,529	(2,407)
Corporates	411,310	(8,124)	45,482	(1,844)	456,792	(9,968)
Equities	—	—	44,513	(1,272)	44,513	(1,272)
Hybrids	13,407	(339)	107,707	(9,211)	121,114	(9,550)
Municipals	71,160	(1,090)	—	—	71,160	(1,090)
Agency residential mortgage-backed securities	1,754	(199)	6,110	(135)	7,864	(334)
Non-agency residential mortgage-backed securities	12,853	(289)	101,777	(3,973)	114,630	(4,262)
Total available-for-sale securities	$ 681,091	(11,936)	323,838	(18,556)	1,004,929	(30,492)

Total number of available-for-sale securities in an unrealized loss position less than twelve months	100
Total number of available-for-sale securities in an unrealized loss position twelve months or longer	56
Total number of available-for-sale securities in an unrealized loss position	156

At June 30, 2013 and September 30, 2012, securities in an unrealized loss position were primarily concentrated in investment grade corporate debt instruments, residential mortgage-backed securities and municipals. Total unrealized losses were $217,288 and $30,492 at June 30, 2013 and September 30, 2012, respectively. The increase in the unrealized loss position is largely due to the increase in Treasury yields over the reporting period. 10 year US Treasury yields increased from 1.63% at September 30, 2012 to 2.48% at June 30, 2013. As a result, corporate debt holdings generally declined in value during this period. The increase in Treasury yields during the June fiscal quarter is attributable to concerns about the cessation of liquidity measures being provided by the Federal Reserve. These concerns were coupled with fears that reduced stimulus would crimp liquidity and affect risk assets, and as a result, credit spreads widened in June. Although elevated Treasury yields, and most recently, credit spreads have resulted in an increase in the unrealized loss position in the portfolio, we note that the largest component of this increase is in securities priced between 90% and 100% of market value. Additionally, we note that the portfolio's exposure to floating rate and less rate-sensitive assets has provided a buffer to rising Treasury yields.

At June 30, 2013 and September 30, 2012, securities with a fair value of $25,353 and $1,192, respectively, were depressed greater than 20% of amortized cost (excluding United States Government and United States Government sponsored agency securities), which represented less than 1% of the carrying values of all investments. The increase in unrealized loss positions from September 30, 2012 is primarily due to Treasury yields during this period. Based upon the Company's current evaluation of these securities in accordance with its impairment policy and its intent to retain these investments for a period of time sufficient to allow for recovery in value, the Company has determined that these securities are not other-than-temporarily impaired.

The following table provides a reconciliation of the beginning and ending balances of the credit loss portion of other-than-temporary impairments on fixed maturity securities held by the Company for the three and nine months ended June 30, 2013 and June 30, 2012, for which a portion of the other-than-temporary impairment was recognized in AOCI:

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Beginning Balance	$ 2,681	$ 2,569	$ 2,681	667
Increases attributable to credit losses on securities:				
Other-than-temporary impairment was previously recognized	—	112	—	112
Other-than-temporary impairment was not previously recognized	—	—	—	1,902
Ending Balance	$ 2,681	$ 2,681	$ 2,681	2,681

For the three and nine month period ended June 30, 2013, the Company recognized impairment losses in operations totaling $716 and $1,649, including credit impairments of $491 and $757 and change-of-intent impairments of $225 and $892 and had an amortized cost of $4,093 and a fair value of $2,444 at the time of impairment, respectively. For the three and nine months ended June 30, 2012, the Company recognized impairment losses in operations totaling $2,487 and $19,787, including credit impairments of $698 and $4,736 and change-of-intent impairments of $1,789 and $15,015 and had an amortized cost of $101,887 and a fair value of $80,570 at June 30, 2012. Details underlying write-downs taken as a result of other-than-temporary impairments that were recognized in net income and included in net realized gains on securities were as follows:

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Other-than-temporary impairments recognized in net income				
Corporates	$ —	$ 1,538	$ —	$ 2,234
Hybrids	—	—	—	9,688
Non-agency residential mortgage-backed securities	225	828	1,148	6,901
Other Assets	491	121	501	964
Total other-than-temporary impairments	$ 716	$ 2,487	$ 1,649	$ 19,787

Net Investment Income

The major sources of "Net investment income" in the accompanying Condensed Consolidated Statements of Operations were as follows:

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Fixed maturity available-for-sale securities	$ 160,331	$ 173,257	$ 482,296	$ 531,096
Equity available-for-sale securities	3,745	4,817	11,306	10,839
Policy loans	195	125	632	550
Invested cash and short-term investments	145	2,105	1,383	3,458
Other investments	8,825	754	9,764	892
Gross investment income	173,241	181,058	505,381	546,835
Investment expense	(3,578)	(2,900)	(10,483)	(9,199)
Net investment income	$ 169,663	$ 178,158	$ 494,898	$ 537,636

Net Investment Gains (Losses)

Details underlying "Net investment gains (losses)" reported in the accompanying Condensed Consolidated Statements of Operations were as follows:

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Net realized gains on fixed maturity available-for-sale securities	$ 24,403	$ 37,895	$ 224,655	$ 172,188
Realized gains on equity securities	1,458	417	3,345	783
Net realized gains on securities	25,861	38,312	228,000	172,971
Realized gains (losses) on certain derivative instruments	48,278	(26,295)	90,978	(32,001)
Unrealized (losses) gains on certain derivative instruments	(30,137)	(24,839)	19,793	114,649
Change in fair value of reinsurance related embedded derivative	52,253	—	110,564	—
Realized gains (losses) on derivatives & embedded derivative	70,394	(51,134)	221,335	82,648
Realized gains on other invested assets	(158)	(84)	(123)	(1,003)
Net investment gains (losses)	$ 96,097	$ (12,906)	$ 449,212	$ 254,616

Underlying write-downs taken to fixed maturity available-for-sale securities as a result of other-than-temporary impairments that were recognized in earnings and included in net realized gains on securities above were $716 and $1,649 for the three and nine months ended June 30, 2013, respectively and were $2,487 and $19,787 for the three

and nine months ended June 30, 2012, respectively. The portion of other-than-temporary impairments recognized in AOCI is disclosed in the Condensed Statement of Comprehensive Income.

For the three and nine months ended June 30, 2013, principal repayments, calls, tenders, and proceeds from the sale of fixed maturity available-for-sale securities totaled $836,012 and $5,741,552, gross gains on such sales totaled $35,014 and $283,985 and gross losses totaled $461 and $1,032, respectively.

For the three and nine months ended June 30, 2012, principal repayments, calls, tenders, and proceeds from the sale of fixed maturity available-for-sale securities, including assets transferred to Wilton Re as discussed in Note 9, "Reinsurance," totaled $1,216,158 and $4,366,308, gross gains on such sales totaled $49,469 and $211,908 and gross losses totaled $9,208 and $20,897, respectively.

(5) Derivative Financial Instruments

Derivatives consisted of the following:

	June 30, 2013	September 30, 2012
Assets:		
Call options	$ 227,382	$ 200,667
	$ 227,382	$ 200,667
Liabilities:		
Contractholder funds:		
FIA embedded derivative	$ 1,585,935	$ 1,550,805
Other liabilities:		
Futures contracts	439	928
Reinsurance related embedded derivative	110,564	—
	$ 1,696,938	$ 1,551,733

The change in fair value of derivative instruments included in the accompanying Condensed Consolidated Statements of Operations is as follows:

	Three Months Ended		Nine Months Ended	
Revenues:	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Net investment gains:				
Call options	$ 14,704	$ (44,557)	$ 98,283	$ 48,722
Futures contracts	3,436	(6,577)	12,488	33,926
Reinsurance related embedded derivative	52,254	—	110,564	—
	70,394	(51,134)	221,335	82,648
Net investment income:				
Available-for-sale embedded derivatives	—	376	—	400
	70,394	(50,758)	221,335	83,048
Benefits and other changes in policy reserves:				
FIA embedded derivatives	$ (53,640)	$ 10,338	$ 35,130	$ 90,125

Additional Disclosures

Reinsurance Related Embedded Derivatives

Effective December 31, 2012, the Company entered into a coinsurance with funds withheld reinsurance arrangement with Front Street Re which resulted in an embedded derivative related to the withheld assets of the related funds. This derivative is considered a total return swap with contractual returns that are attributable to assets and liabilities associated with this reinsurance arrangement. The fair value of the total return swap is based on the change in fair value of the underlying assets held in the funds withheld portfolio. Investment results for the assets that support the coinsurance with funds withheld reinsurance arrangement, including gains and losses from sales, are passed directly to the reinsurer pursuant to contractual terms of the reinsurance arrangement. The reinsurance related embedded derivative is reported in "Other liabilities" on the Condensed Consolidated Balance Sheets and the related gains or losses are reported in "Net investment gains (losses)" on the Condensed Consolidated Statements of Operations.

FIA Contracts

The Company has Fixed Index Annuities ("FIA") Contracts that permit the holder to elect an interest rate return or an equity index linked component, where interest credited to the contracts is linked to the performance of various equity indices, primarily the Standard and Poor's ("S&P") 500 Index. This feature represents an embedded derivative under US GAAP. The FIA embedded derivative is valued at fair value and included in the liability for contractholder funds in the accompanying Condensed Consolidated Balance Sheets with changes in fair value included as a component of "Benefits and other changes in policy reserves" in the Condensed Consolidated Statements of Operations.

The Company purchases derivatives consisting of a combination of call options and futures contracts on the applicable market indices to fund the index credits due to FIA contractholders. The call options are one, two and three year options purchased to match the funding requirements of the underlying policies. On the respective anniversary dates of the index policies, the index used to compute the interest credit is reset and the Company purchases new one, two or three year call options to fund the next index credit. The Company manages the cost of these purchases through the terms of its FIA Contracts, which permit the Company to change caps, spreads or participation rates, subject to guaranteed minimums, on each contract's anniversary date. The change in the fair value of the call options and futures contracts is generally designed to offset the portion of the change in the fair value of the FIA embedded derivative related to index performance. The call options and futures contracts are marked to fair value with the change in fair value included as a component of "Net investment gains." The change in fair value of the call options and futures contracts includes the gains and losses recognized at the expiration of the instrument term or upon early termination and the changes in fair value of open positions.

Other market exposures are hedged periodically depending on market conditions and the Company's risk tolerance. The Company's FIA hedging strategy economically hedges the equity returns and exposes the Company to the risk that unhedged market exposures result in divergence between changes in the fair value of the liabilities and the hedging assets. The Company uses a variety of techniques, including direct estimation of market sensitivities and value-at-risk to monitor this risk daily. The Company intends to continue to adjust the hedging strategy as market conditions and the Company's risk tolerance change.

Credit Risk

The Company is exposed to credit loss in the event of nonperformance by its counterparties on the call options and reflects assumptions regarding this nonperformance risk in the fair value of the call options. The nonperformance risk is the net counterparty exposure based on the fair value of the open contracts less collateral held. The Company maintains a policy of requiring all derivative contracts to be governed by an International Swaps and Derivatives Association ("ISDA") Master Agreement.

Information regarding the Company's exposure to credit loss on the call options it holds is presented in the following table:

Counterparty	Credit Rating (Moody's/S&P)	June 30, 2013 Notional Amount	June 30, 2013 Fair Value	September 30, 2012 Notional Amount	September 30, 2012 Fair Value
Bank of America	Baa2/A-	$ 2,098,391	$ 76,405	$ 1,884,047	$ 64,101
Deutsche Bank	A2/A+	1,563,976	57,410	1,816,532	61,704
Morgan Stanley	Baa1/A-	2,024,702	64,435	1,634,686	51,630
Royal Bank of Scotland	Baa1/A-	479,000	24,614	353,875	19,595
Barclay's Bank	A2/A+	127,109	4,518	131,255	3,081
Credit Suisse	A2/A	—	—	10,000	556
		$ 6,293,178	$ 227,382	$ 5,830,395	$ 200,667

Collateral Agreements

The Company is required to maintain minimum ratings as a matter of routine practice under its ISDA agreements. Under some ISDA agreements, the Company has agreed to maintain certain financial strength ratings. A downgrade below these levels provides the counterparty under the agreement the right to terminate the open derivative contracts between the parties, at which time any amounts payable by the Company or the counterparty would be dependent on the market value of the underlying derivative contracts. The Company's current rating allows multiple counterparties the right to terminate ISDA agreements. No ISDA agreements have been terminated, although the counterparties have reserved the right to terminate the ISDA agreements at any time. In certain transactions, the Company and the counterparty have entered into a collateral support agreement requiring either party to post collateral when the net exposures exceed pre-determined thresholds. These thresholds vary by counterparty and credit rating. As of June 30, 2013 and September 30, 2012, no collateral was posted by the Company's counterparties as they did not meet the net exposure thresholds. Accordingly, the maximum amount of loss due to credit risk that the Company would incur if parties to the call options failed completely to perform according to the terms of the contracts was $227,382 and $200,667 at June 30, 2013 and September 30, 2012, respectively.

The Company held 1,244 and 2,835 futures contracts at June 30, 2013 and September 30, 2012, respectively. The fair value of futures contracts represents the cumulative unsettled variation margin (open trade equity net of cash settlements). The Company provides cash collateral to the counterparties for the initial and variation margin on the futures contracts which is included in “Cash and cash equivalents” in the accompanying Condensed Consolidated Balance Sheets. The amount of collateral held by the counterparties for such contracts was $4,295 and $9,820 at June 30, 2013 and September 30, 2012, respectively.

(6) Fair Value of Financial Instruments

The Company's measurement of fair value is based on assumptions used by market participants in pricing the asset or liability, which may include inherent risk, restrictions on the sale or use of an asset or non-performance risk, which may include the Company's own credit risk. The Company's estimate of an exchange price is the price in an orderly transaction between market participants to sell the asset or transfer the liability (“exit price”) in the principal market, or the most advantageous market in the absence of a principal market, for that asset or liability, as opposed to the price that would be paid to acquire the asset or receive a liability (“entry price”). The Company categorizes financial instruments carried at fair value into a three-level fair value hierarchy, based on the priority of inputs to the respective valuation technique. The three-level hierarchy for fair value measurement is defined as follows:

Level 1 - Values are unadjusted quoted prices for identical assets and liabilities in active markets accessible at the measurement date.

Level 2 - Inputs include quoted prices for similar assets or liabilities in active markets, quoted prices from those willing to trade in markets that are not active, or other inputs that are observable or can be corroborated by market data for the term of the instrument. Such inputs include market interest rates and volatilities, spreads and yield curves.

Level 3 - Certain inputs are unobservable (supported by little or no market activity) and significant to the fair value measurement. Unobservable inputs reflect the Company's best estimate of what hypothetical market participants would use to determine a transaction price for the asset or liability at the reporting date based on the best information available in the circumstances.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lower level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

When a determination is made to classify an asset or liability within Level 3 of the fair value hierarchy, the determination is based upon the significance of the unobservable inputs to the overall fair value measurement. Because certain securities trade in less liquid or illiquid markets with limited or no pricing information, the determination of fair value for these securities is inherently more difficult. However, Level 3 fair value investments may include, in addition to the unobservable or Level 3 inputs, observable components, which are components that are actively quoted or can be validated to market-based sources.

The carrying amounts and estimated fair values of the Company's consolidated financial instruments for which the disclosure of fair values is required, including financial assets and liabilities measured and carried at fair value on a recurring basis, with the exception of investment contracts, are summarized according to the hierarchy previously described, as follows:

	June 30, 2013				
	Level 1	Level 2	Level 3	Fair Value	Carrying Amount
Assets					
Cash and cash equivalents	$ 954,632	$ —	$ —	$ 954,632	$ 954,632
Fixed maturity securities available-for-sale:					
Asset-backed securities	—	1,432,396	122,590	1,554,986	1,554,986
Commercial mortgage-backed securities	—	517,976	5,923	523,899	523,899
Corporates	—	9,773,773	438,955	10,212,728	10,212,728
Hybrids	—	508,291	—	508,291	508,291
Municipals	—	1,036,868	—	1,036,868	1,036,868
Agency residential mortgage-backed securities	—	110,983	—	110,983	110,983
Non-agency residential mortgage-backed securities	—	1,354,000	—	1,354,000	1,354,000
U.S. Government	183,632	210,395	—	394,027	394,027
Equity securities available-for-sale	—	258,083	11,740	269,823	269,823
Derivative financial instruments	—	227,382	—	227,382	227,382
Other invested assets	—	—	181,195	181,195	181,195
Related party loans	—	—	120,346	120,346	120,346
Total assets at fair value	$ 1,138,264	$ 15,430,147	$ 880,749	$ 17,449,160	$ 17,449,160
Liabilities					
Fixed indexed annuities	$ —	$ —	$ 1,585,935	$ 1,585,935	$ 1,585,935
Derivatives:					
Derivative instruments - futures contracts	—	439	—	439	439
Reinsurance related embedded derivative	—	110,564	—	110,564	110,564
Investment contracts, included in contractholder funds	—	—	12,354,528	12,354,528	13,756,736
Debt	—	300,000	—	300,000	300,000
Total financial liabilities	$ —	$ 411,003	$ 13,940,463	$ 14,351,466	$ 15,753,674

	September 30, 2012				
	Level 1	Level 2	Level 3	Fair Value	Carrying Amount
Assets					
Cash and cash equivalents	$ 1,047,124	$ 2,250	$ —	$ 1,049,374	$ 1,049,374
Fixed maturity securities, available-for-sale:					
Asset-backed securities	—	1,012,027	15,855	1,027,882	1,027,882
Commercial mortgage-backed securities	—	548,791	5,023	553,814	553,814
Corporates	—	10,873,715	135,296	11,009,011	11,009,011
Hybrids	—	519,422	8,873	528,295	528,295
Municipals	—	1,223,995	—	1,223,995	1,223,995
Agency residential mortgage-backed securities	—	154,890	—	154,890	154,890
Non-agency residential mortgage-backed securities	—	660,659	—	660,659	660,659
U.S. Government	930,367	—	—	930,367	930,367
Equity securities	—	248,087	—	248,087	248,087
Derivative financial instruments	—	200,667	—	200,667	200,667
Other invested assets	—	—	18,814	18,814	18,814
Related party loans	—	—	150,069	150,069	150,069
Total financial assets	$ 1,977,491	$ 15,444,503	$ 333,930	$ 17,755,924	$ 17,755,924
Liabilities					
Derivatives:					
FIA embedded derivatives, included in contractholder funds	$ —	$ —	$ 1,550,805	$ 1,550,805	$ 1,550,805
Futures contracts	—	928	—	928	928
Investment contracts, included in contractholder funds	—	—	12,271,882	12,271,882	13,739,670
Note payable to affiliate	—		224,363	224,363	224,363
Total financial liabilities	$ —	$ 928	$ 14,047,050	$ 14,047,978	$ 15,515,766

The carrying amounts of accrued investment income and portions of other liabilities approximate fair value due to their short duration and, accordingly, they are not presented in the table above.

The Company measures the fair value of its securities based on assumptions used by market participants in pricing the security. The most appropriate valuation methodology is selected based on the specific characteristics of the fixed maturity or equity security, and the Company will then consistently apply the valuation methodology to measure the security's fair value. The Company's fair value measurement is based on a market approach, which utilizes prices and other relevant information generated by market transactions involving identical or comparable securities. Sources of inputs to the market approach include a third-party pricing service, independent broker quotations or pricing matrices. The Company uses observable and unobservable inputs in its valuation methodologies. Observable inputs include benchmark yields, reported trades, broker-dealer quotes, issuer spreads, two-sided markets, benchmark securities, bids, offers and reference data. In addition, market indicators and industry and economic events are monitored and further market data will be acquired when certain thresholds are met. For certain security types, additional inputs may be used, or some of the inputs described above may not be applicable. For broker-quoted only securities, quotes from market makers or broker-dealers are obtained from sources

recognized to be market participants. Management believes the broker quotes are prices at which trades could be executed based on historical trades executed at broker-quoted or slightly higher prices.

The Company did not adjust prices received from third parties as of June 30, 2013 and September 30, 2012. However, the Company does analyze the third party valuation methodologies and its related inputs to perform assessments to determine the appropriate level within the fair value hierarchy.

The fair value of derivative assets and liabilities is based upon valuation pricing models, which represents what the Company would expect to receive or pay at the balance sheet date if it canceled the options, entered into offsetting positions, or exercised the options. The fair value of futures contracts represent the cumulative unsettled variation margin (open trade equity net of cash settlements). Fair values for these instruments are determined externally by an independent actuarial firm using market observable inputs, including interest rates, yield curve volatilities, and other factors. Credit risk related to the counterparty is considered when estimating the fair values of these derivatives. The fair values of the embedded derivatives in the Company's FIA products are derived using market indices, pricing assumptions and historical data. The fair value of the reinsurance related embedded derivative in the funds withheld reinsurance agreement with Front Street Re is estimated based upon the change in the fair value of the assets supporting the funds withheld from reinsurance liabilities. As the fair value of the assets are based on a quoted market price (Level 2), the fair value of the embedded derivative is based on market observable inputs and is classified as Level 2.

Investment contracts include deferred annuities, FIAs, IULs and immediate annuities. The fair values of deferred annuities, FIA, and IUL contracts are based on their cash surrender value (i.e. the cost the Company would incur to extinguish the liability) as these contracts are generally issued without an annuitization date. The fair value of immediate annuities contracts is derived by calculating a new fair value interest rate using the updated yield curve and treasury spreads as of the respective reporting date. At June 30, 2013 and September 30, 2012, this resulted in lower fair value reserves relative to the carrying value. The Company is not required to and has not estimated the fair value of the liabilities under contracts that involve significant mortality or morbidity risks, as these liabilities fall within the definition of insurance contracts that are exceptions from financial instruments that require disclosures of fair value.

Quantitative information regarding significant unobservable inputs used for recurring Level 3 fair value measurements of financial instruments carried at fair value at June 30, 2013 and September 30, 2012 is as follows:

	Fair Value at June 30, 2013	Valuation Technique	Unobservable Input(s)	Range (Weighted average)
Assets				
Asset-backed securities	122,590	Broker-quoted	Offered quotes	105.5%
Corporates	400,171	Broker-quoted	Offered quotes	0.00% - 108.25% (93.18%)
Corporates	38,784	Market Pricing	Quoted prices	88.00% - 126.20% (95.63%)
Commercial mortgage-backed securities	5,923	Broker-quoted	Offered quotes	100%
Equity securities	11,740	Market Pricing	Quoted prices	0.44% - 98.22% (57.57%)
Total	$ 579,208			
Liabilities				
Derivatives:				
FIA embedded derivatives included in contractholder funds	$ 1,585,935	Discounted cash flow	Market value of option	0% - 36.85%
			SWAP rates	1.57% - 2.70% (2.14%)
			Mortality multiplier	80%
			Surrender rates	0.50% - 75% (7%)
			Non-performance spread	0.25% - 0.25% (0.25%)
Total liabilities at fair value	$ 1,585,935			

	Fair Value at September 30, 2012	Valuation Technique	Unobservable Input(s)	Range (Weighted average)
Assets				
Asset-backed securities	15,855	Broker-quoted	Offered quotes	100% - 109.73% (103.09%)
Corporates	103,319	Broker-quoted	Offered quotes	0% - 140.61% (68.47%)
Corporates	31,977	Market pricing	Quoted prices	87.50% - 158.11% (97.89%)
Hybrids	8,873	Broker-quoted	Offered quotes	0% - 103% (25.35%)
Commercial mortgage-backed securities	5,023	Broker-quoted	Offered quotes	100.69%
Total	$ 165,047			
Liabilities				
Derivatives:				
FIA embedded derivatives included in contractholder funds	$ 1,550,805	Discounted cash flow	Market value of option	0% - 31.05%
			SWAP rates	0.76% - 1.7% (1.22%)
			Mortality multiplier	70%
			Surrender rates	2% -50% (7%)
			Non-performance spread	0.25% - 0.25% (0.25%)
Total liabilities at fair value	$ 1,550,805			

The significant unobservable inputs used in the fair value measurement of FIA embedded derivatives included in contractholder funds are market value of option, interest swap rates, mortality multiplier, surrender rates, and non-performance spread. The mortality multiplier is based on the 1983 annuity table and assumes the contractholder population is 50% female and 50% male. Significant increases (decreases) in the market value of option in isolation would result in a higher (lower) fair value measurement. Significant increases (decreases) in interest swap rates, mortality multiplier, surrender rates, or non-performance spread in isolation would result in a lower (higher) fair value measurement. Generally, a change in any one unobservable input would not result in a change in any other unobservable input.

The following tables summarize changes to the Company's financial instruments carried at fair value and classified within Level 3 of the fair value hierarchy for the three and nine month periods ended June 30, 2013 and June 30, 2012. This summary excludes any impact of amortization of VOBA and DAC. The gains and losses below may include changes in fair value due in part to observable inputs that are a component of the valuation methodology.

	Three months ended June 30, 2013					
		Total Gains (Losses)				
	Balance at Beginning of Period	Included in Earnings	Included in AOCI	Net Purchases, Sales, & Settlements	Net transfer In (Out) of Level 3 (a)	Balance at End of Period
Assets						
Fixed maturity securities available-for-sale:						
Asset-backed securities	$ 122,784	$ —	$ (175)	$ (19)	$ —	$ 122,590
Commercial mortgage-backed securities	6,154	—	(210)	(21)	—	5,923
Corporates	202,860	(9)	(11,975)	248,079	—	438,955
Equity securities available-for-sale	10,000	—	1,593	147	—	11,740
Total assets at Level 3 fair value	$ 341,798	$ (9)	$ (10,767)	$ 248,186	$ —	$ 579,208
Liabilities						
FIA embedded derivatives	1,639,575	(53,640)	—	—	—	1,585,935
Total liabilities at Level 3 fair value	$ 1,639,575	$ (53,640)	$ —	$ —	$ —	$ 1,585,935

	Nine Months Ended June 30, 2013					
		Total Gains (Losses)				
	Balance at Beginning of Period	Included in Earnings	Included in AOCI	Net Purchases, Sales, & Settlements	Net transfer In (Out) of Level 3 (a)	Balance at End of Period
Assets						
Fixed maturity securities available-for-sale:						
Asset-backed securities	$ 15,855	$ —	$ (209)	$ 117,444	$ (10,500)	$ 122,590
Commercial mortgage-backed securities	5,023	—	(64)	964	—	5,923
Corporates	135,296	(335)	(10,829)	348,610	(33,787)	438,955
Hybrids	8,873	—	(175)	—	(8,698)	—
Equity securities available-for-sale	—	—	1,593	10,147	—	11,740
Total assets at Level 3 fair value	$ 165,047	$ (335)	$ (9,684)	$ 477,165	$ (52,985)	$ 579,208
Liabilities						
FIA embedded derivatives	1,550,805	35,130	—	—	—	1,585,935
Related party loans	224,363			(224,363)	—	—
Total liabilities at Level 3 fair value	$ 1,775,168	$ 35,130	$ —	$ (224,363)	$ —	$ 1,585,935

(a) The net transfers in and out of Level 3 during the three and nine month periods ended June 30, 2013 were exclusively to or from Level 2.

	Three months ended June 30, 2012					
		Total Gains (Losses)				
	Balance at Beginning of Period	Included in Earnings	Included in AOCI	Net Purchases, Sales, & Settlements	Net transfer In (Out) of Level 3 (a)	Balance at End of Period
Assets						
Fixed maturity securities available-for-sale:						
Asset-backed securities	$ 502,938	$ —	$ 919	$ 251,545	$ 3,674	$ 759,076
Corporates	147,580	184	(3,662)	21,446	40,288	205,836
Hybrids	5,100	—	81	—	—	5,181
Municipals	10,308	—	—	—	(10,253)	55
Agency residential mortgage-backed securities	3,330	—	—	—	(3,330)	—
Non-agency residential mortgage-backed securities	1,217	(126)	87	(563)	—	615
Equity securities available-for-sale	—	—	—	—	—	—
Total assets at Level 3 fair value	$ 670,473	$ 58	$ (2,575)	$ 272,428	$ 30,379	$ 970,763
Liabilities						
Fixed indexed annuities	1,496,803	(10,338)				1,486,465
AFS embedded derivatives	376	(376)	—	—	—	—
Total liabilities at Level 3 fair value	$ 1,497,179	$ (10,714)	$ —	$ —	$ —	$ 1,486,465

	Nine Months Ended June 30, 2012					
		Total Gains (Losses)				
	Balance at Beginning of Period	Included in Earnings	Included in AOCI	Net Purchases, Sales, & Settlements	Net transfer In (Out) of Level 3 (a)	Balance at End of Period
Assets						
Fixed maturity securities available-for-sale:						
Asset-backed securities	$ 374,518	$ —	$ 6,985	$ 363,076	$ 14,497	$ 759,076
Corporates	159,684	207	(5,927)	21,929	29,943	205,836
Hybrids	5,205	—	(24)	—	—	5,181
Municipals	—	(2)	72	10,177	(10,192)	55
Agency residential mortgage-backed securities	3,312	—	18	—	(3,330)	—
Non-agency residential mortgage-backed securities	3,759	(126)	4	(777)	(2,245)	615
Total assets at Level 3 fair value	$ 546,478	$ 79	$ 1,128	$ 394,405	$ 28,673	$ 970,763
Liabilities						
Fixed indexed annuities	1,396,340	90,125	—	—	—	1,486,465
AFS embedded derivatives	400	(400)	—	—	—	—
Total liabilities at Level 3 fair value	$ 1,396,740	$ 89,725	$ —	$ —	$ —	$ 1,486,465

(a) The net transfers in and out of Level 3 during the nine month periods ended June 30, 2012 were exclusively to or from Level 2.

The Company reviews the fair value hierarchy classifications each reporting period. Changes in the observability of the valuation attributes may result in a reclassification of certain financial assets or liabilities. Such reclassifications are reported as transfers in and out of Level 3, or between other levels, at the beginning fair value for the reporting period in which the changes occur. We transferred $79,324 U.S. Government securities from Level 1 into Level 2 for the nine months ended June 30, 2013 reflecting the level of market activity in these instruments. There were no transfers between Level 1 and Level 2 for the three and nine month periods ended June 30, 2012.

Primary market issuance and secondary market activity for certain asset-backed and hybrid securities during three and nine months ended June 30, 2013 as well corporate securities during the three and nine months ended June 30, 2013 increased the market observable inputs used to establish fair values for similar securities. These factors, along with more consistent pricing from third-party sources, resulted in the Company concluding that there is sufficient trading activity in similar instruments to support classifying these securities as Level 2 as of June 30, 2013. Accordingly, the Company's assessment resulted in a net transfer out of Level 3 of $0 and $52,985 related to asset-backed, corporate and hybrid securities during the three and nine months ended June 30, 2013, respectively. The Company's assessment resulted in a net transfer out of Level 3 of $13,583 and 15,766 related to municipals, agency RMBS and non-agency RMBS and a net transfer into Level 3 of $43,962 and $44,440 related to ABS and corporates during the three and nine months ended June 30, 2012, respectively.

Changes in unrealized losses (gains), net in the Company's FIA embedded derivatives are included in “Benefits and other changes in policy reserves” in the Condensed Consolidated Statement of Operations.

The following tables present the gross components of purchases, sales, and settlements, net, of Level 3 financial instruments for the three and nine month periods ended June 30, 2013 and June 30, 2012. There were no issuances during the three and nine month periods ended June 30, 2013 and June 30, 2012.

	Three Month Period Ended June 30, 2013			
	Purchases	**Sales**	**Settlements**	**Net purchases, sales, issuances, & settlements**
Assets				
Fixed maturity securities available-for-sale:				
Asset-backed securities	$ —	$ —	$ (19)	$ (19)
Commercial mortgage-backed securities	—	—	(21)	(21)
Corporates	259,822	—	(11,743)	248,079
Equity securities available-for-sale	147	—	—	147
Total assets at fair value	$ 259,969	$ —	$ (11,783)	$ 248,186

	Nine Months Ended June 30, 2013			
	Purchases	**Sales**	**Settlements**	**Net purchases, sales, issuances, & settlements**
Assets				
Fixed maturity securities available-for-sale:				
Asset-backed securities	$ 117,500	$ —	$ (56)	$ 117,444
Commercial mortgage-backed securities	1,026	—	(62)	964
Corporates	380,076	(9,561)	(21,905)	348,610
Equity securities available-for-sale	10,147	—	—	10,147
Total assets at fair value	$ 548,414	$ (9,561)	$ (25,570)	$ 513,283
Liabilities				
Related party loans	—	—	(224,363)	(224,363)
Total liabilities at fair value	—	$ —	$ (224,363)	$ (224,363)

	Three months ended June 30, 2012			
	Purchases	Sales	Settlements	Net purchases, sales, issuances, & settlements
Assets				
Fixed maturity securities available-for-sale:				
Asset-backed securities	$ 262,536	$ —	$ (10,991)	$ 251,545
Corporates	62,873	(7,713)	(33,714)	21,446
Non-agency residential mortgage-backed securities	—	(475)	(88)	(563)
Total assets at fair value	$ 325,409	$ (8,188)	$ (44,793)	$ 272,428

	Nine Months Ended June 30, 2012			
	Purchases	Sales	Settlements	Net purchases, sales, issuances, & settlements
Assets				
Fixed maturity securities available-for-sale:				
Asset-backed securities	$ 394,887	$ —	$ (31,811)	$ 363,076
Corporates	91,599	(24,398)	(45,272)	21,929
Municipals	10,197	—	(20)	10,177
Non-agency residential mortgage-backed securities	—	(475)	(302)	(777)
Total assets at Level 3 fair value	$ 496,683	$ (24,873)	$ (77,405)	$ 394,405

(7) Intangible Assets

Information regarding VOBA and DAC, DSI, is as follows:

	VOBA	DAC	Total
Balance at September 30, 2011	$ 419,060	$ 38,107	$ 457,167
Deferrals	—	157,620	157,620
Less: Components of amortization :			
Unlocking	(1,106)	1,678	572
Interest	21,534	1,448	22,982
Other amortization	(121,696)	(13,837)	(135,533)
Add: Adjustment for unrealized investment gains/losses, net	(74,230)	(17,699)	(91,929)
Balance at June 30, 2012	$ 243,562	$ 167,317	$ 410,879

	VOBA	DAC	Total
Balance at September 30, 2012	$ 104,320	$ 169,223	$ 273,543
Deferrals	—	109,188	109,188
Less: Amortization related to:			
Unlocking	22,570	4,844	27,414
Interest	16,236	7,055	23,291
Other amortization	(186,253)	(73,263)	(259,516)
Add: Adjustment for unrealized investment gains/losses	211,297	49,607	260,904
Balance at June 30, 2013	$ 168,170	$ 266,654	$ 434,824

Amortization of VOBA and DAC is based on the amount of gross margins or profits recognized, including investment gains and losses. The adjustment for unrealized net investment gains represents the amount of VOBA and DAC that would have been amortized if such unrealized gains and losses had been recognized. This is referred to as the "shadow adjustments" as the additional amortization is reflected in AOCI rather than the statements of operations. As of June 30, 2013 and September 30, 2012, the VOBA balance included cumulative adjustments for net unrealized investment gains/losses of $128,124 and $339,420, respectively, and the DAC balances included cumulative adjustments for net unrealized investment gains/losses of $1,103 and $50,711, respectively.

The above DAC balances include $20,571 and $9,069 of DSI, net of shadow adjustments, as of June 30, 2013 and September 30, 2012, respectively.

The weighted average amortization period for VOBA and DAC are approximately 4.9 and 7.7 years, respectively. Estimated amortization expense for VOBA and DAC in future fiscal years is as follows:

	Estimated Amortization Expense	
Fiscal Year	**VOBA**	**DAC**
2013	$ 8,224	$ 4,348
2014	42,567	21,504
2015	40,647	22,771
2016	36,690	22,143
2017	30,400	21,186
Thereafter	137,765	175,806

(8) Long Term Debt

In March 2013, FGL issued $300,000 aggregate principal amount of its 6.375% senior notes ("Notes offering") due April 1, 2021, at par value, which FGL may elect to redeem after April 1, 2015. Interest payments are due semi-annually, April and October 1, commencing October 1, 2013 and total interest expense was $4,987 for the three months ended June 30, 2013 and nine-months ended June 30, 2013. FGL expects to use the net proceeds from the issuance of the notes for general corporate purposes and to support the growth of its subsidiary life insurance company. With the net proceeds received from the issuance, FGL paid Harbinger Group Inc. ("HGI") a $73,000 dividend in March 2013.

In connection with the 6.375% Notes offering, FGL capitalized $10,195 of debt issue costs. The fees are classified as "Other assets" in the accompanying Condensed Consolidated Balance Sheets as of June 30, 2013 and are being are amortized over the redemption date using the straight-line method over the remaining term of the debt, of which $846 has been amortized for the three and nine months ended June 30, 2013.

On February 25, 2009, FGL and OMGUK entered into an intercompany term loan agreement for $225,000 and a revolving credit facility agreement for $100,000. Effective April 6, 2011, a deed of novation was entered into as part of the sale of FGL to HFG whereby OM Group (UK) Limited transferred all of its rights, obligations and liabilities under the intercompany loan agreements to HFG. The term loan carried a 10.24% fixed interest rate payable annually on February 28th and total interest expense was $0 and $5,368 for the three months ended June 30, 2013 and June 30, 2012. Total interest expense was $8,908 and $16,853 for the nine months ended June 30, 2013 and June 30, 2012. The revolving credit facility carried an interest rate of three month LIBOR plus 8.18% payable on February 28, 2014 and total interest expense was $505 and $717 for the three and nine months ended June 30, 2012, respectively. There was no interest expense for the three and nine months ended June 30, 2013.

On February 28, 2013, HFG and FGL entered into a termination and release agreement whereby HFG notified FGL of its election to convert the loans to equity. Accordingly, the Company converted the balance of the note payable and revolving credit facility as of February 28, 2013 of $213,330 to equity on February 28, 2013. This resulted in an

increase in the Company's paid in capital without issuance of stock as FGL is a wholly owned subsidiary of HFG. No gain or loss was recognized on the conversion of the debt.

(9) Stock Compensation

The Company recognized stock compensation expense related to stock option awards and dividend equivalents as follows:

	Three Months Ended		Nine Months Ended	
	June 30, 2013	June 30, 2012	June 30, 2013	June 30, 2012
Stock compensation expense	$ 1,960	$ 294	$ 3,547	$ 584
Related tax benefit	686	103	1,241	204
Net stock compensation expense	$ 1,274	$ 191	$ 2,306	$ 380

The stock compensation expense is included in “Acquisition and operating expenses, net of deferrals” in the Condensed Consolidated Statements of Operations.

A summary of the Company's outstanding stock options as of June 30, 2013 and changes during the nine month period is as follows:

	FGL		
Stock Option Awards	**Options**	**Weighted Average Exercise Price**	**Weighted Average Grant Date Fair Value**
Stock options outstanding at September 30, 2012	201	38.20	3.90
Granted	194	49.45	3.85
Exercised	(27)	38.14	3.90
Forfeited or expired	—	—	—
Stock options outstanding at June 30, 2013	368	43.77	3.88
Exercisable at June 30, 2013	—	—	—
Vested or expected to vest at June 30, 2013	301	43.77	3.88

A summary of restricted stock and restricted stock units outstanding as of June 30, 2013 and related activity during the nine months then ended are as follows:

Restricted Stock Awards	**Shares**	**Average Exercise Price**	**Average Grant Date Fair Value**
Restricted shares outstanding at September 30, 2012	—	—	—
Granted	52	49.45	3.85
Exercised	—	—	—
Forfeited or expired	(1)	—	—
Restricted shares outstanding at June 30, 2013	51	49.45	3.85
Exercisable at June 30, 2013		—	—
Restricted stock expected to vest	41	49.45	3.85

Effective December 31, 2012, FGL granted 194 stock option awards and 52 restricted stock units, under the terms of the plan. These stock options and restricted shares vest over a period of 3 years and expire on the seventh

anniversary of the grant date. The total fair value of the option grant and restricted stock unit grant on the grant date was $581 and $2,019, respectively.

The total compensation cost related to non-vested options and restricted stock units not yet recognized as of June 30, 2013 totaled $4,104 and will be recognized over a weighted-average period of 2.41 years.

On November 2, 2011, FGL's compensation committee (on behalf of its board of directors) approved a long-term stock-based incentive plan that permits the grant of options to purchase shares of the FGL's common stock to key employees of FGL. On November 2, 2011, FGL's compensation committee also approved a dividend equivalent plan that permits holders of these options the right to receive a payment in cash in an amount equal to the ordinary dividends declared and paid or debt service payments, divided by the total number of common shares outstanding, to HGI by the FGL in each calendar year starting in the year in which the dividend equivalent is granted through the year immediately prior to the year in which the dividend equivalent vests with respect to a participant's option shares. As of September 30, 2012, FGL determined that it was probable that the dividend equivalent will vest and recorded a provision of for the ratable recognition $368 of such projected liability over the option vesting period for the quarter ended June 30, 2013.

On January 6, 2012 and June 22, 2012, FGL granted 205 and 2 stock option awards, respectively, under the terms of the plan. These stock options vest over a period of 3 years and expire on the seventh anniversary of the grant. The total fair value of the grants on their grant dates was approximately $623 and $5, respectively. As of September 30, 2012 FGL determined it was probable that the dividend equivalent plan would vest and therefore, based on the options outstanding, the projected liability should be recognized rateably over the option vesting period. Accordingly, a $504 liability was recorded as of September 30, 2012.

On December 31, 2012, FGL elected an alternate settlement for the vested portion of the 2012 share options awards. FGL selected a cash settlement of the vested option awards, which reclassified the plan from an equity plan to a liability plan. FGL recognized additional expense, of approximately $585, for the difference between the cash settlement amount and the compensation expense previously recognized. FGL revalued the remaining unvested option awards to fair value and recorded $105 compensation expense.

On December 31, 2012, FGL also approved a new dividend equivalent plan in connection with the new stock option awards discussed above. FGL recognized $900 related to the dividend equivalent liability as of June 30, 2013 in connection with the 2011 and 2012 stock option awards.

The following assumptions were used in the determination of these grant date fair values using the Black-Scholes option pricing model:

	2013
Risk-free interest rate	0.8%
Assumed dividend yield	6.0%
Expected option term	4.5 years
Volatility	27.0%

(10) Income Taxes

The provision for income taxes represents federal income taxes. The effective tax rate for the three and nine month periods ended June 30, 2013 was 30.1% and 33.0%, respectively. The effective tax rate for the three and nine month periods ended June 30, 2012 was 7.7% and 15.8%, respectively. The effective tax rate (“ETR”) on pre-tax income differs from U.S Federal statutory rate primarily due to current period changes to the Company's valuation allowance offsetting its deferred tax asset position.

The Company's tax provision changes quarterly based on recurring and non-recurring factors, including but not limited to, enacted tax legislation, tax audit settlements and changes in judgment from the evaluation of new information resulting in the recognition or de-recognition and/or re-measurement of a tax position taken in a prior period. Changes in judgment related to a tax position are generally recognized in the quarter in which any such change occurs.

(11) Commitments and Contingencies

Contingencies

Regulatory and Litigation Matters

FGL is assessed amounts by the state guaranty funds to cover losses to policyholders of insolvent or rehabilitated insurance companies. Those mandatory assessments may be partially recovered through a reduction in future premium taxes in certain states. At June 30, 2013, FGL has accrued $5,570 for guaranty fund assessments which is expected to be offset by estimated future premium tax deductions of $4,955.

The Company has received inquiries from a number of state regulatory authorities regarding its use of the U.S. Social Security Administration's Death Master File ("Death Master File") and compliance with state claims practices regulation. To date, the Company has received inquiries from authorities in Maryland, Minnesota and New York. The New York Insurance Department issued a letter and subsequent regulation requiring life insurers doing business in New York to use the Death Master File or similar databases to determine if benefits were payable under life insurance policies, annuities and retained asset accounts. Legislation requiring insurance companies to use the Death Master File to identify potential claims has recently been enacted in FGL's state of domicile (Maryland) and other states. As a result of these legislative and regulatory developments, in May 2012 the Company undertook an initiative to use the Death Master File and other publicly available databases to identify persons potentially entitled to benefits under life insurance policies, annuities and retained asset accounts. During Fiscal 2012, the Company incurred an $11,000 benefit expense, net of reinsurance, to increase reserves to cover potential benefits payable resulting from this ongoing effort. Based on its analysis to date and management's estimate, the Company believes the remaining accrual will cover the reasonably estimated liability arising out of these developments. In addition, the Company has received audit and examination notices from several state agencies responsible for escheatment and unclaimed property regulation in those states. The Company has established a contingency of $2,000, the mid-point of an estimated range of $1,000 to $3,000, relative to the external legal costs and potential liabilities of said audits and examinations. Additional costs that cannot be reasonably estimated as of the date of this filing are possible as a result of ongoing regulatory developments and other future requirements related to this matter.

The Company is involved in various pending or threatened legal proceedings, including purported class actions, arising in the ordinary course of business. In some instances, these proceedings include claims for unspecified or substantial punitive damages and similar types of relief in addition to amounts for alleged contractual liability or requests for equitable relief. In the opinion of management and in light of existing insurance and other potential indemnification, reinsurance and established reserves, such litigation is not expected to have a material adverse effect on the Company's financial position, although it is possible that the results of operations and cash flows could be materially affected by an unfavorable outcome in any one period.

Guarantees

The First Amended and Restated Stock Purchase Agreement, dated February 17, 2011 (the "F&G Stock Purchase Agreement") between HFG and OMGUK includes a Guarantee and Pledge Agreement which creates certain obligations for FGL as a grantor and also grants a security interest to OMGUK of FGL's equity interest in FGL Insurance in the event that HFG fails to perform in accordance with the terms of the F&G Stock Purchase Agreement. The Company is not aware of any events or transactions that resulted in non-compliance with the Guarantee and Pledge Agreement.

(12) Reinsurance

The Company reinsures portions of its policy risks with other insurance companies. The use of reinsurance does not discharge an insurer from liability on the insurance ceded. The insurer is required to pay in full the amount of its insurance liability regardless of whether it is entitled to or able to receive payment from the reinsurer. The portion of risks exceeding the Company's retention limit is reinsured with other insurers. The Company seeks reinsurance coverage in order to limit its exposure to mortality losses and enhance capital management. The Company follows

reinsurance accounting when there is adequate risk transfer. Otherwise, the deposit method of accounting is followed. The Company also assumes policy risks from other insurance companies.

The effect of reinsurance on premiums earned, benefits incurred and reserve changes for the three and nine month periods ended June 30, 2013 and June 30, 2012 were as follows:

	Three months ended			
	June 30, 2013		June 30, 2012	
	Net Premiums Earned	Net Benefits Incurred	Net Premiums Earned	Net Benefits Incurred
Direct	$ 69,977	$ 150,872	$ 74,522	$ 224,913
Assumed	9,044	8,166	11,363	8,994
Ceded	(60,238)	(60,016)	(73,841)	(92,917)
Net	$ 18,783	$ 99,022	$ 12,044	$ 140,990

	Nine Months Ended			
	June 30, 2013		June 30, 2012	
	Net Premiums Earned	Net Benefits Incurred	Net Premiums Earned	Net Benefits Incurred
Direct	$ 212,335	$ 579,748	$ 225,757	$ 749,743
Assumed	24,484	15,734	35,673	26,975
Ceded	(190,314)	(192,128)	(219,260)	(217,016)
Net	$ 46,505	$ 403,354	$ 42,170	$ 559,702

Amounts payable or recoverable for reinsurance on paid and unpaid claims are not subject to periodic or maximum limits. During the three and nine month periods ended June 30, 2013 and June 30, 2012, the Company did not write off any reinsurance balances. During the three and nine month periods ended June 30, 2012 the Company did not commute any ceded reinsurance. Effective June 17, 2013, the Company rescinded the portion of the coinsurance agreement dated April 1, 2011 between FGL Insurance and Wilton Re which covers certain disability income riders. Wilton Re has agreed to pay FGL Insurance a rescission settlement of $6,428. In addition, FGL Insurance will re-establish the $4,489 reserve liability previously ceded to Wilton Re in connection with this business. FGL Insurance recognized a net gain on the rescission of $1,939.

No policies issued by the Company have been reinsured with any foreign company, which is controlled, either directly or indirectly, by a party not primarily engaged in the business of insurance.

The Company has not entered into any reinsurance agreements in which the reinsurer may unilaterally cancel any reinsurance for reasons other than non-payment of premiums or other similar credit issues.

The Company has the following significant reinsurance agreements as of June 30, 2013:

Wilton Agreement

On January 26, 2011, HFG entered into a commitment agreement (the "Commitment Agreement") with Wilton Re U.S. Holdings, Inc. ("Wilton") committing Wilton Re, a wholly-owned subsidiary of Wilton and a Minnesota insurance company, to enter into one of two amendments to an existing reinsurance agreement with FGL Insurance. On April 8, 2011, FGL Insurance ceded significantly all of the remaining life insurance business that it had retained to Wilton Re under the first of the two amendments with Wilton. FGL Insurance transferred assets with a fair value

of $535,826, net of ceding commission, to Wilton Re. The Company considered the effects of the first amendment in the opening balance sheet and purchase price allocation as of FGL Acquisition Date. Effective April 26, 2011, HFG elected the second of the two amendments under the Commitment Agreement (the "Raven Springing Amendment"), which committed FGL Insurance to cede to Wilton Re all of the business (the "Raven Block") then reinsured with Raven Re on or before March 31, 2013, subject to regulatory approval. The Raven Springing Amendment was intended to mitigate the risk associated with HFG's obligation under the F&G Stock Purchase Agreement, by replacing the Raven Re reserve facility by December 31, 2012. On September 9, 2011, FGL Insurance and Wilton Re executed an amended and restated Raven Springing Amendment whereby the recapture of the business ceded to Raven Re by FGL Insurance and the re-cession to Wilton Re closed on October 17, 2011 with an effective date of October 1, 2011. In connection with the closing, FGL Insurance transferred assets with a fair value of $580,683, including ceding commission, to Wilton Re.

In September 2012, Wilton Re and FGL Insurance reached a final agreement on the initial settlements associated with the reinsurance transactions FGL Insurance entered into subsequent to the FGL Acquisition. The final settlement amounts did not result in any material adjustments to the amounts reflected in the financial statements. FGL Insurance recognized a net pre-tax gain of $18,029 on these reinsurance transactions which has been deferred and is being amortized over the remaining life of the underlying reinsured contracts.

Commissioners Annuity Reserve Valuation Method Facility ("CARVM")

Effective October 1, 2012, FGL Insurance recaptured the CARVM reinsurance agreement from OM Re and simultaneously ceded the business to Raven Re. The recapture of the OM Re CARVM reinsurance agreement satisfies the Company's obligation under the F&G Stock Purchase Agreement to replace the letter of credit provided by OM no later than December 31, 2015. In connection with the new CARVM reinsurance agreement, FGL and Raven Re entered into an agreement with Nomura Bank International plc ("Nomura") to establish a $295,000 reserve financing facility in the form of a letter of credit issued by Nomura and Nomura charged an upfront structuring fee in the amount of $2,800. The reserve financing facility is set to be reduced by $6,250 each quarter subsequent to establishment. The structuring fee was paid by FGL Insurance and will be deferred and amortized over the expected life of the facility. As this letter of credit is provided by an unaffiliated financial institution, Raven Re is permitted to carry the letter of credit as an admitted asset on the Raven Re statutory balance sheet.

Front Street Re ("FSR")

Effective December 31, 2012, FGL Insurance entered into a reinsurance treaty with Front Street Re, an indirectly wholly-owned subsidiary of HFG, FGL's parent, whereby FGL cedes 10% of its June 30, 2012 in-force annuity block business not already reinsured on a funds withheld basis. Under the terms of the agreement, FSR paid FGL an initial ceding allowance of $15,000. A study prepared by an independent third party actuarial firm determined that the initial ceding allowance of $15,000 is a fair and reasonable valuation.

(13) Related Party Transactions

The Company participated in unsecured borrowings to third parties originated by Salus Capital Partners LLC ("Salus"), an affiliated company indirectly owned by HGI that provides asset-based and senior secured financing. In February 2013, Salus completed a CLO securitization and the Company sold participation interests and partial participation interests into the CLO and acquired $117,500 asset backed securities, which are included in "Fixed maturities securities" in the Consolidated Balance Sheet as of June 30, 2013. Interest earned on the Salus CLO was $1,162 and $2,343 for the three and nine months ended June 30, 2013, which is included in "Net investment income" in the Consolidated Statement of Operations.

The Company had remaining 2012 unsecured borrowings originated by Salus of $32,505 and $129,467 and accrued investment income of $124 and $602 at June 30, 2013 and September 30, 2012, respectively, which are included in "Related party loans" in the Consolidated Balance Sheets. Also included in "Related party loans" was financing provided by the Company to Salus in the form of a $10,000 revolving loan and a $20,000 term loan. As of June 30, 2013, accrued investment income on the term loan was $368 and the revolving loan was unfunded. Interest earned on the loan participations and term loan was $710 and $4,323 for the three and nine months ended June 30, 2013, respectively, and $658 and $669 for the three and nine months ended June 30, 2012, respectively, which is included in "Net investment income" in the Consolidated Statement of Operations.

During the March 2013 quarter, the Company acquired $67,361 unsecured senior notes from HGI Energy Holdings, LLC, a wholly owned subsidiary of HGI which are included in "Related party loans" in the Consolidated Balance Sheet as of June 30, 2013 and accrued investment income on these notes was $3,388. Interest earned on the unsecured senior notes was $1,588 and $2,195 for the three and nine months ended June 30, 2013, respectively, which is included in "Net investment income" in the Consolidated Statement of Operations.

In 2013, the Company invested in loan participations originated by Salus of $153,618 included in "Other invested assets" in the Consolidated Balance Sheet as of June 30, 2013. Interest earned on these loan participations was $1,970 and $2,110 for the three and nine months ended June 30, 2013, respectively, which is included in "Net investment income" in the Consolidated Statement of Operations.

On February 28, 2013, FGL converted the balance of the note payable and revolving credit facility as of February 28, 2013 of $213,330 to equity. See Note 8 for additional information.

Effective December 31, 2012, FGL entered into a coinsurance funds withheld reinsurance agreement with Front Street Re. See Note 12 for additional information.

(14) Subsequent Events

On August 28, 2013, FGL's parent Company, Fidelity & Guaranty Life (formerly Harbinger F&G, LLC) filed a registration statement on Form S-1 with the Securities and Exchange Commission relating to a proposed initial public offering of its common stock. All of the shares will be offered by the issuer, Fidelity & Guaranty Life. Harbinger Group Inc. is not a selling stockholder in the offering.

ITEM 2: Management's Discussion and Analysis of Financial Condition and Results of Operations

Management's discussion and analysis reviews our unaudited consolidated financial position at June 30, 2013, and the unaudited consolidated results of operations for the three and nine month periods ended June 30, 2013, and where appropriate, factors that may affect future financial performance. This analysis should be read in conjunction with our unaudited Consolidated Financial Statements and notes thereto appearing elsewhere in this Form 10-Q and "Management's Discussion and Analysis of Financial Condition and Results of Operations" of FGL, which was included with our annual consolidated financial statements for the year ended September 30, 2012 included within the Offering Memorandum dated March 22, 2013. The results of operations for the three months ended June 30, 2013 are not necessarily indicative of the results for any subsequent periods or the entire fiscal year ending September 30, 2013.

Dollar amounts in the accompanying discussion are presented in millions, unless otherwise noted.

BUSINESS OVERVIEW

Background

Fidelity & Guaranty Life Holdings, Inc. ("FGL," a Delaware corporation), is a provider of annuity and life insurance products to the middle and upper-middle income markets in the United States. Based in Baltimore, Maryland, FGL operates in the United States through its subsidiaries Fidelity & Guaranty Life Insurance Company and Fidelity & Guaranty Life Insurance Company of New York.

Our principal products are deferred annuities (including fixed indexed annuities), immediate annuities, and life insurance products, which are sold through a network of approximately 199 independent marketing organizations ("IMOs") representing approximately 19,000 independent agents and managing general agents. As of June 30, 2013, we had over 688,599 policyholders nationwide and we distribute our products throughout the United States.

We identify our most important 34 IMOs as "Power Partners." Our Power Partners are currently comprised of 20 annuity IMOs and 14 life insurance IMOs. For the nine month period ended June 30, 2013, these Power Partners accounted for approximately 80% of our sales volume. We believe that our relationships with these IMOs are strong. The average tenure of the top ten Power Partners is approximately 12 years.

Fixed annuities represent an important type of insurance policy or retirement and savings plan, and we believe these products deliver investment returns and predictable income streams to customers. In addition, we believe life insurance products present customers with a complementary alternative to annuities which allow the policyholder to earn returns on their premiums and provide a payment to the designated beneficiary upon the policyholder's death. A significant portion of our business involves indexed products, such as FIAs and IULs. In calendar year 2012, FIAs generated approximately 96% of our total sales. These fixed indexed products tie contractual returns to specified market indices, such as the S&P 500 Index. The benefit of FIAs to our customers is to provide a portion of the gains of an underlying market index without the risk of losing the original principal. Our annuity contracts generally include "surrender charges" that discourage early redemptions. In addition, the majority of these contracts contain provisions that permit us to annually reset the parameters of the formula by which index credits are provided in response to changing market conditions

Under U.S. generally accepted accounting principles ("US GAAP"), premium collections for fixed index and fixed rate annuities and immediate annuities without life contingency are reported as deposit liabilities (i.e., contractholder funds) instead of as revenues. Similarly, cash payments to policyholders are reported as decreases in the liability for contractholder funds and not as expenses. Sources of revenues for products accounted for as deposit liabilities are net investment income, surrender and other charges deducted from contractholder funds, and net realized gains (losses) on investments. Components of expenses for products accounted for as deposit liabilities are interest sensitive and index product benefits (primarily interest credited to account balances or the cost of providing index credits to the policyholder), amortization of value of business acquired ("VOBA") and deferred policy acquisition costs ("DAC"), other operating costs and expenses, and income taxes.

Earnings from products accounted for as deposit liabilities are primarily generated from the excess of net investment income earned over the interest credited or the cost of providing index credits to the policyholder, known as the net investment spread. With respect to fixed index annuities, the cost of providing index credits includes the expenses incurred to fund the annual index credits and where applicable, minimum guaranteed interest credited. Proceeds received upon expiration or early termination of call options purchased to fund annual index credits are recorded as part of the change in fair value of derivatives, and are largely offset by an expense for index credits earned on annuity contractholder fund balances.

Our profitability depends in large part upon the amount of assets under management, our ability to manage our operating expenses, the costs of acquiring new business (principally commissions to agents and bonuses credited to policyholders) and the investment spreads earned on its contractholder fund balances. Managing net investment spreads involves the ability to manage our investment portfolios to maximize returns and minimize risks such as interest rate changes and defaults or impairment of investments and our ability to manage interest rates credited to policyholders and costs of the options and futures purchased to fund the annual index credits on the fixed index annuities.

Results of Operations

The following is a discussion of our consolidated results of operations and should be read in conjunction with our "Business Overview" section above.

Fiscal Quarter and Fiscal Nine Months Ended June 30, 2013 Compared to the Fiscal Quarter and Fiscal Nine Months Ended June 30, 2012

The following tables set forth the consolidated results of operations for the Fiscal 2013 and 2012 Quarter and Fiscal 2013 and 2012 Nine Months:

	Fiscal Quarter			Fiscal Nine Months		
	2013	2012	Increase / (Decrease)	2013	2012	Increase / (Decrease)
Revenues:						
Premiums	$ 18.8	$ 12.0	$ 6.8	$ 46.5	$ 42.2	$ 4.3
Net investment income	169.7	178.2	(8.5)	494.9	537.6	(42.7)
Net investment gains (losses)	96.1	(12.9)	109.0	449.2	254.6	194.6
Insurance and investment product fees and other	13.5	8.9	4.6	41.1	28.2	12.9
Total revenues	$ 298.1	$ 186.2	$ 111.9	$ 1,031.7	$ 862.6	$ 169.1
Benefits and expenses:						
Benefits and other changes in policy reserves	99.0	141.0	(42.0)	403.4	559.7	(156.3)
Acquisition and operating expenses, net of deferrals	22.0	18.8	3.2	66.0	98.5	(32.5)
Amortization of intangible assets	84.6	26.9	57.7	208.8	112.0	96.8
Total benefits and expenses	$ 205.6	$ 186.7	$ 18.9	$ 678.2	$ 770.2	$ (92.0)
Income before interest expense on notes payable to affiliate and income taxes	92.5	(0.5)	93.0	353.5	92.4	261.1
Interest expense	5.8	5.9	(0.1)	14.8	17.6	(2.8)
Income before income taxes	86.7	(6.4)	93.1	338.7	74.8	263.9
Income tax expense (benefit)	26.2	(0.5)	26.7	111.8	11.8	100.0
Net income (loss)	$ 60.5	$ (5.9)	$ 119.6	$ 226.9	$ 63.0	$ 163.9

Net income for the Fiscal 2013 Quarter was $60.5 million, an increase of $119.6 million, from $(5.9) million for the Fiscal 2012 Quarter. The quarter over quarter increase was primarily due the revaluation of assets and liabilities to reflect increased interest rates which resulted in an increase in operating income of $56.9 million. These gains are partially offset in the balance sheet through AOCI. Additionally, in Fiscal Q3 2012, a one-time charge in connection with FGL's use of the U.S. Social Security Administration's Death Master File to identify potential life insurance claims reduced operating earnings by $11.0 million. Partially offsetting these increases to operating income, was a $26.7 million increase in income tax expense period over period due to a discrete period adjustment in the Fiscal 2012 Quarter which resulted in a release of a portion of the deferred tax asset valuation allowance.

Net income for the Fiscal 2013 Nine Months was $226.9 million, an increase of $163.9 million, from $63.0 million for the Fiscal 2012 Nine Months. The increase was primarily due to the revaluation of assets and liabilities to reflect increased interest rates which resulted in an increase in operating income of $110.3, trading gains on our available-for-sale portfolio and mortality gains. Realized investments gains on available-for-sale securities increased $83.7 million period over period, net of related VOBA and DAC amortization, due to portfolio re-positioning trades and implementation of a tax strategy. We also experienced immediate annuity mortality gains of $27.4 million of during the Fiscal 2013 Nine Months due to large case deaths. Partially offsetting these increases to operating income, was a $100.0 million increase in income tax expense period over period due to a discrete period adjustment in the Fiscal 2012 Nine Months which resulted in a release of a portion of the deferred tax asset valuation allowance.

Annuity sales during the Fiscal 2013 Quarter and Fiscal 2012 Quarter were $270.8 million and $468.0 million, respectively, including $263.8 million and $461.4 million, respectively, of fixed index annuities ("FIA") sales. Annuity sales during the Fiscal 2013 Nine Months and Fiscal 2012 Nine Months were $761.6 million and $1.4 billion, respectively, including $745.5 million and $1.3 billion, respectively, of FIA sales. Sales of our core product, Prosperity Elite^{SM}, which was introduced during the year ended September 30, 2011, was the primary driver of the strong sales during the Fiscal 2012 Nine Months. The period over period declines in annuity sales was primarily due to the launch of our Prosperity Elite^{SM} product which created positive sales momentum. Product sales declined in subsequent quarters as a result of the targeted production levels we established for the product. FIAs have become the dominant product within the fixed annuity market and industry growth is expected to continue as individuals nearing retirement increasingly seek the safety and guaranteed income benefits of fixed index annuities. During Fiscal 2013 Quarter we refreshed our flagship Prosperity Elite fixed index annuity. In March 2012, Synergy Global Advantage Gold was launched which was our first new life product introduction since 2007 and will contribute to more aggressive growth for the remainder of the year. In addition, a new traditional fixed annuity, Simplicity Elite was launched to focus on solving income distribution needs for seniors.

Adjusted operating income- pretax

Pretax Adjusted Operating Income. Pretax adjusted operating income is a non-US GAAP financial measure frequently used throughout the insurance industry and an economic measure FGL uses to evaluate financial performance each period. For the Fiscal 2013 Quarter, pretax adjusted operating income increased $16.6 million to $21.0 million from $4.4 million for the Fiscal 2012 Quarter. This increase is primarily due to an $11 million liability net of reinsurance, for estimated unreported death claims recorded during the Fiscal 2012 Quarter resulting from a search of the Social Security Administration database that produced a listing of deceased policyholders that died while their policy was in force (see Note 11, "Commitments and Contingencies" for additional information regarding this charge).

For the Fiscal 2013 Nine Months, pretax adjusted operating income increased $44.5 million to $87.3 million from $42.8 million for the Fiscal 2012 Nine Months. The increase is primarily due to immediate annuity mortality gains of $27.3 million recognized in the Fiscal 2013 Nine Months caused by large case deaths, as discussed below in benefits and other changes in policy reserves, as well as the $11.0 million unclaimed death benefit adjustment recorded in the Fiscal 2012 Quarter as discussed above.

	Fiscal Quarter		Fiscal Nine Months	
	2013	2012	2013	2012
Adjusted operating income – pretax	$ 21.0	$ 4.4	$ 87.3	$ 42.8
Reconciliation to operating income:				
Operating income (loss)	$ 92.5	$ (0.5)	$ 353.5	$ 92.4
Effect of realized investment (gains) losses, net of offsets	(14.6)	(17.2)	(155.9)	(72.2)
Effect of change in FIA embedded derivative discount rate, net of offsets	(25.2)	17.9	(46.1)	10.8
Effects of transaction-related reinsurance, net of offsets	(31.7)	4.2	(64.2)	11.8
Adjusted operating income – pretax	$ 21.0	$ 4.4	$ 87.3	$ 42.8

Pretax adjusted operating income is calculated by adjusting the reported operating income to eliminate the impact of net investment gains, excluding gains and losses on derivatives hedging the FIA index credits, the effect of changes in the rates used to discount the FIA embedded derivative liability and the effects of transaction-related reinsurance, net of the corresponding VOBA and DAC impact related to these adjustments. These items fluctuate period to period in a manner inconsistent with our core operations. Accordingly, we believe using a measure which excludes their impact is effective in analyzing the trends of our operations. Together with reported operating income, we believe pretax adjusted operating income enhances the understanding of our underlying results and profitability which in turn provides a meaningful analysis tool for our investors.

Non-US GAAP measures such as pretax adjusted operating income should not be used as a substitute for reported operating income. We believe the adjustments made to the reported operating income in order to derive pretax adjusted operating income are significant to gaining an understanding of our overall results of operations. For example, we could have strong operating results in a given period, yet report operating income that is materially less, if during the period the fair value of our derivative assets hedging the FIA index credit obligations decreased due to general equity market conditions but the embedded derivative liability related to the index credit obligation did not decrease in the same proportion as the derivative asset because of non-equity market factors such as interest rate movements. Similarly, we could also have poor operating results yet show reported operating income that is materially greater, if during the period the fair value of the derivative assets increases but the embedded derivative liability increase is less than the fair value change of the derivative assets. We hedge our FIA index credits with a combination of static and dynamic strategies, which can result in earnings volatility, the effects of which are generally likely to reverse over time. Our management and board of directors review pretax adjusted operating income and reported operating income as part of their examination of our overall financial results. However, these examples illustrate the significant impact derivative and embedded derivative movements can have on our reported operating income. Accordingly, our management and board of directors perform an independent review and analysis of these items, as part of their review of our hedging results each period.

The adjustments to reported operating income noted in the table above are net of amortization of DAC and VOBA. Amounts attributable to the fair value accounting for derivatives hedging the FIA index credits and the related embedded derivative liability fluctuate from period to period based upon changes in the fair values of call options purchased to fund the annual index credits for FIAs, changes in the interest rates used to discount the embedded derivative liability, and the fair value assumptions reflected in the embedded derivative liability. The accounting standards for fair value measurement require the discount rates used in the calculation of the embedded derivative liability to be based on the risk-free interest rates. The impact of the change in risk-free interest rates has been removed from reported operating income. Additionally, in evaluating our operating results, the effects of transaction-related reinsurance have been removed from reported operating income. For the Fiscal 2012 periods, these effects reflect one-time settlement adjustments related to the cession of significantly all of FGL Insurance's remaining life insurance business that it had retained upon acquisition. For the Fiscal 2013 periods, these adjustments reflect the increase in fair value of the reinsurance related embedded derivative which is based on the change in fair value of the underlying assets held in the Front Street Re funds withheld portfolio.

Revenues

Premiums. Premiums primarily reflect insurance premiums for traditional life insurance products which are recognized as revenue when due from the policyholder. We have ceded the majority of our traditional life business to unaffiliated third party reinsurers. The remaining traditional life business is primarily related to traditional life contracts that contain return of premium riders, which have not been reinsured to third party reinsurers. For the Fiscal 2013 Quarter, premiums increased $6.8 million, or 56.7%, to $18.8 million from $12.0 million for the Fiscal Quarter 2012, primarily due to the rescission of the coinsurance agreement with Wilton Re covering home certain disability income riders during the quarter which resulted in a decrease in ceded premiums of approximately $4.5 million.

For the Fiscal 2013 Nine Months, premiums increased $4.3 million, or 10.2%, to $46.5 million from $42.2 million for the Fiscal 2012 Nine Months, primarily due to the rescission of the coinsurance agreement with Wilton Re discussed above.

Net investment income. For the Fiscal 2013 Quarter and Nine Months, we had net investment income of $169.7 million and $494.9 million, respectively compared to $178.2 million and 537.6 million for the Fiscal 2012 Quarter and Nine Months, respectively. The decreases of $8.5 million and $42.7 million were primarily due to the funds withheld reinsurance agreement with Front Street Re, effective December 31, 2012, which resulted in the ceding of $13.2 million and $24.7 million of net investment income to Front Street Re during the Fiscal 2013 Quarter and Nine Months, respectively. The remaining period over period decrease for the Fiscal Nine Months was due to lower average yield on invested assets for the first six months of Fiscal 2013 resulting from portfolio changes to shorten the overall portfolio duration during the 2012 calendar year by selling longer dated and higher yielding investment grade rated bonds at gains in anticipation of rising interest rates and to realize certain tax-advantaged built-in-gains during the quarter ended December 30, 2012.

Average invested assets (on an amortized cost basis) were $16.2 billion and $16.6 billion and the average yield earned on average invested assets was 4.40% and 4.50% (annualized) for the Fiscal 2013 Quarter and Fiscal 2012 Quarter, respectively, compared to interest credited and option costs of 3.11% and 3.22% (annualized,) for each Fiscal Quarter, respectively. The average yield earned on average invested assets was 4.28% and 4.54% (annualized) for the Fiscal 2013 Nine Months and Fiscal 2012 Nine Months, respectively, compared to interest credited and option costs of 3.10% and 3.26% (annualized) for each period, respectively.

Our net investment spread for the period is summarized as follows (annualized):

	Fiscal Quarter		Fiscal Nine Months Ended	
	2013	2012	2013	2012
Average yield on invested assets	4.40%	4.50%	4.28%	4.54%
Less: Interest credited and option cost	3.11%	3.22%	3.10%	3.26%
Net investment spread	1.29%	1.28%	1.18%	1.28%

The increase in net investment spread for the Fiscal 2013 Quarter is primarily attributable to an increase in net investment income (excluding amounts ceded to Front Street Re) due to the Company's strategy to reinvest excess cash and cash equivalents and lower yielding treasury notes into higher yielding assets during the Fiscal 2013 Quarter. Also contributing to the increase in spread was lower interest credited/option costs that resulted from lower crediting rates and a reduction in the cost of equity options hedging the FIA index credits.

The decrease in net investment spread for the Fiscal 2013 Nine Months is primarily attributable to the decrease in net investment income during the period as discussed above partially offset by lower interest credited/option costs that resulted from lower crediting rates and a reduction in the cost of equity options hedging the FIA index credits.

Net investment gains (losses). For the Fiscal 2013 Quarter, we had net investment gains of $96.1 million compared to net investment losses of $12.9 million for the Fiscal 2012 Quarter. The quarter over quarter increase of $109.0 million is primarily due to a $52.3 million increase in fair value of the reinsurance related embedded derivative which is based on the change in fair value of the underlying assets held in the Front Street Re funds withheld portfolio (see Note 5 of the Notes to Condensed Consolidated Financial Statements, herein, for more details). The decrease in the fair value of the underlying assets was primarily due to the rise in Treasury rates during the quarter. This gain is largely offset in the balance sheet through AOCI.

Also driving the quarter over quarter increase in realized gains was $18.2 million of net realized and unrealized gains on long futures and equity options purchased to hedge the annual index credits for FIA contracts recognized during the Fiscal 2013 Quarter, compared to net realized and unrealized losses of $51.1 million during the Fiscal 2012 Quarter, an increase of $69.3 million. Net realized and unrealized gains on derivative instruments primarily resulted from the performance of the indices upon which the call options and futures contracts are based and the aggregate cost of options purchased. A substantial portion of the call options and futures contracts are based upon the Standard & Poors ("S&P") 500 Index with the remainder based upon other equity and bond market indices. Beginning in August of 2012, the Company modified its hedging strategy to be more statically hedged, thereby increasing the aggregate amount of options purchases in subsequent periods. In addition, the quarter over quarter increase was driven by the aggregate amount of options purchased due to sales of the Prosperity Elite product line which was introduced during the fourth quarter of Fiscal Year 2011 as well as improved performance of the S&P 500.

For the Fiscal 2013 Nine Months, we had net investment gains of $449.2 million compared to net investment gains of $254.6 million for the Fiscal 2012 Nine Months. The period over period increase of $194.6 million is primarily due to a $110.6 million increase in fair value of the reinsurance related embedded derivative due to the rise in Treasury rates from December 31, 2012 to June 30, 2013. Also contributing to the period over period increase was $228.0 million of net investment gains on fixed maturity and equity available-for-sale securities in the Fiscal 2013 Nine Months, compared to net investment gains of $173.0 million for the Fiscal 2012 Nine Months. The $55.0 million increase period over period is primarily due to the tax strategy for realization of certain tax-advantaged built-in-gains related to the 2011 acquisition, by selling longer dated investment grade rated bonds at gains. Included in the Fiscal 2012 Nine Months was $30.5 million of gains associated with the asset transfer on October 1, 2011 for the closing of the final transaction-related reinsurance transaction with Wilton Re. The $30.5 million of gains were paid to Wilton Re as part of the initial asset transfer.

The remaining increase was due to an increase in net realized and unrealized gains on long futures and equity options of $28.1 million due to the quarter over quarter factors discussed above.

The components of the realized and unrealized gains on derivative instruments used to hedge our FIA products are as follows:

	Fiscal Quarter		Fiscal Nine Months Ended	
	2013	2012	2013	2012
Call options:				
Gain (loss) on option expiration	$ 41.7	(19.5)	$ 79.1	$ (57.3)
Change in unrealized gain/loss	(27)	(25.1)	19.1	106
Futures contracts:				
Gain (Loss) on futures contracts expiration	6.6	(6.8)	11.9	25
Change in unrealized gain/loss	(3.1)	.3	0.7	8.6
	$ 18.2	$ (51.1)	$ 110.8	$ 82.3

The average index credits to policyholders during the following periods are as follows:

	Fiscal Quarter		Fiscal Nine Months Ended	
	2013	2012	2013	2012
S&P 500 Index:				
Point-to-point strategy	4.71%	2.59%	5.36%	2.34%
Monthly average strategy	4.10%	0.18%	4.90%	1.48%
Monthly point-to-point strategy	5.67%	0.01%	4.26%	0.02%
3 Year high water mark	20.31%	17.09%	23.67%	17.41%

For the Fiscal 2013 Quarter and Nine Months, the average return to contractholders from index credits during the period was 5.10% and 5.01% (annualized), compared to 1.24% and 1.45% (annualized) for the Fiscal 2012 Quarter and Nine Months, respectively. These period over period increases were primarily due to greater appreciation in the S&P 500 Index.

Actual amounts credited to contractholder fund balances may be less than the index appreciation due to contractual features in the FIA Contracts (caps, spreads, participation rates and asset fees) which allows us to manage the cost of the options purchased to fund the annual index credits.

Insurance and investment product fees and other. For the Fiscal 2013 Quarter, insurance and investment product fees and other consists primarily of cost of insurance and surrender charges assessed against policy withdrawals in excess of the policyholder's allowable penalty-free amounts (up to 10% of the prior year's value, subject to certain limitations). These revenues increased $4.6 million, or 51.7%, to $13.5 million for the Fiscal 2013 Quarter from $8.9 million for the Fiscal 2012 Quarter and increased $12.9 million, or 45.7%% to $41.1 million for the Fiscal 2013 Nine Months from $28.2 million for the Fiscal 2012 Nine Months. These increases are primarily due to cost of insurance revenue on new universal life policies issued during the last twelve months and policy rider fees on the Prosperity Elite product line which was introduced during the fourth quarter of Fiscal Year 2011.

Benefits and expenses

Benefits and other changes in policy reserves. For the Fiscal 2013 Quarter, benefits and other changes in policy reserves decreased $42.0 million, or 29.8%, to $99.0 million, from $141.0 million for the Fiscal 2012 Quarter principally due to a $61.5 million decrease in the present value of future credits and guarantee liability compared to a $34.6 million increase during Fiscal 2012 Quarter. The quarter over quarter decrease of $96.1 million was primarily driven by the increase in the risk free rates during the Fiscal 2013 Quarter compared to the decrease in rates during the Fiscal 2012 Quarter. Partially offsetting these decreases were index credits, interest credits and bonuses of $147.1 million during the Fiscal 2013 Quarter compared to $89.2 million during the Fiscal 2012 Quarter. The increase in interest credits quarter over quarter is primarily due to first time credits on annual point to point policies on the new Prosperity Elite product line which had large sales in the Fiscal 2012 Quarter. Changes in index credits are attributable to changes in the underlying indices and the amount of funds allocated by policyholders to the respective index options.

For the Fiscal 2013 Nine Months, benefits and other changes in policy reserves decreased $156.3 million, or 27.9%, to $403.4 million, from $559.7 million for the Fiscal 2012 Nine Months principally due to the present value of future credits and guarantee liability which decreased $121.9 million during Fiscal 2013 Nine Months compared to a $6.1 million increase during the Fiscal 2012 Nine Months. The period over period decrease of $128.0 million was primarily driven by the increase in the risk free rates during the Fiscal 2013 Nine Months compared to the decrease in rates during the Fiscal 2012 Nine Months. Also, contributing the period over period change was a decrease in life contingent immediate annuity reserves of $22.8 million, primarily due to mortality gains of $27.3 million recognized in the Fiscal 2013 Nine Months due to large case deaths compared to mortality losses of $19.4 million during the Fiscal 2012 Nine Months.

Acquisition, operating and general expenses, net of deferrals. For the Fiscal 2013 Quarter, acquisition, operating and general expenses, net of deferrals, increased $3.2 million, or 17.6%, to $22.0 million, from $18.8 million for the Fiscal 2012 Quarter principally due to compensation expense related to FGL's 2011 and 2012 stock option grants. The outstanding grants are marked to market each quarter based on the most recent valuation which resulted in additional stock compensation expense of $2.0 million in the Fiscal 2013 Quarter. Additionally, Fiscal 2013 Quarter includes a $1.2 million change of tax fees due to additional guarantee fund expenses related to Executive Life of NY, which went into formal liquidation during the quarter.

For the Fiscal 2013 Nine Months, acquisition, operating and general expenses, net of deferrals, decreased $32.5 million, or 33.0%, to $66.0 million, from $98.5 million for the Fiscal 2012 Nine Months principally due a $31.1 million ceding commission paid to Wilton Re primarily related to $30.5 million of investment gains realized on the securities transferred to Wilton Re on October 17, 2011, the effective date of the second acquisition-related reinsurance amendment.

Amortization of intangibles. For the Fiscal 2013 Quarter, amortization of intangibles increased $57.7 million, or 214.5%, to $84.6 million from $26.9 million for the Fiscal 2012 Quarter. This increase is primarily due result of higher earnings on the FIA line of business. Additionally, the increase in fair value of the reinsurance related embedded derivative resulted in DAC and VOBA amortization of $19.9 million during the quarter. Also contributing to the increase was new deferrals of $345.2 million since the Acquisition Date.

For the Fiscal 2013 Nine Months, amortization of intangibles increased $96.8 million, or 86.4%, to $208.8 million from $112.0 million for the Fiscal 2012 Nine Months primarily due the increase in fair value of the reinsurance related embedded derivative which resulted in DAC and VOBA amortization of $45.7 million. Additionally, amortization of acquisition costs increased as a result of higher earnings on the FIA line of business as well as new new deferrals. The increase in FIA earnings was principally due to sales of longer dated investment grade rated bonds at gains as well as the increase in risk free rates during the period and corresponding decrease in reserves discussed above.

Other items affecting net income

Interest expense. Interest expense for the Fiscal 2013 Quarter and Nine Months was $5.8 million and $14.8 million, respectively, compared to interest expense of $5.9 million and $17.6 million during the Fiscal 2012 Quarter and Nine Months. Interest expense for the Fiscal 2013 Quarter includes interest incurred on the $300.0 million of outstanding Senior Notes issued in March 2013. The outstanding notes pay interest semi-annually at a coupon rate of 6.375%. The additional $9.0 million of interest expense for the Fiscal 2013 Nine Months relates to interest on the $225.0 million intercompany term loan agreement payable to HFG which the Company elected to convert to equity as as an increase in paid-in-capital on February 28, 2013 in accordance with the termination and release agreement between HFG and FGL (see Note 8, "Long Term Debt" for additional information). Interest expense for the Fiscal 2012 Quarter and Nine Months was all related to the intercompany term loan.

Income tax expense (benefit). In assessing the recoverability of its deferred tax assets, Management regularly considers the guidance outlined within ASC 740 (“Income Taxes”). The guidance requires an assessment of both positive and negative evidence in determining the realizability of deferred tax assets. A valuation allowance is required to reduce the Company's deferred tax asset to an amount that is more likely than not to be realized. In determining the net deferred tax asset and valuation allowance, management is required to make judgments and estimates related to projections of future profitability. These judgments include the following: the timing and extent of the utilization of net operating loss carry-forwards, the reversals of temporary differences, and tax planning strategies. The Company has recorded a partial valuation allowance of $170.9 million against its gross deferred tax assets of $412.3 million as of June 30, 2013.

The Company maintains a valuation allowance against certain §382 limited capital loss carry forwards and the deferred tax assets of its non-life insurance company subsidiaries. A valuation allowance has been placed against §382 limited capital loss carry forwards to reduce these deferred tax assets to an amount that is more-likely than not to be realized before the attributes expire. The non-life insurance company subsidiaries have a history of losses and insufficient sources of future income in order to recognize any portion of their deferred tax assets.

The valuation allowance is reviewed quarterly and will be maintained until there is sufficient positive evidence to support a release. At each reporting date, management considers new evidence, both positive and negative, that could impact the future realization of deferred tax assets. Management will consider a release of the valuation

allowance once there is sufficient positive evidence that it is more likely than not that the deferred tax assets will be realized. Any release of the valuation allowance will be recorded as a tax benefit increasing net income or other comprehensive income. The valuation allowance was decreased by $6.6 million for the nine months-ended June 30, 2013. The adjustment is due to previously unrealizable capital loss carry forwards that are now expected to be utilized during the current fiscal year, which was partially offset by full valuation allowance placed against the current period income benefit of the non-life subsidiaries.

Financial Condition

The types of assets in which we may invest are influenced by various state laws, which prescribe qualified investment assets applicable to insurance companies. Within the parameters of these laws, we invest in assets giving consideration to three primary investment objectives: (i) income-oriented total return, (ii) yield maintenance/enhancement and (iii) capital preservation/risk mitigation.

Our investment portfolio is designed to provide a stable earnings contribution and balanced risk portfolio across asset classes and is primarily invested in high quality corporate bonds with low exposure to consumer-sensitive sectors.

As of June 30, 2013 and September 30, 2012, our investment portfolio was approximately $16.4 and $16.6 billion, respectively, and was divided among the following asset classes:

	June 30, 2013		September 30, 2012	
Asset Class	**Fair Value**	**Percent**	**Fair Value**	**Percent**
Asset-backed securities	$ 1,555.0	9.5%	$ 1,027.9	6.2%
Commercial mortgage-backed securities	523.9	3.2%	553.8	3.3%
Corporates	10,212.7	62.4%	11,009.0	66.5%
Equity securities	269.8	1.6%	248.1	1.5%
Hybrids	508.3	3.1%	528.3	3.2%
Municipals	1,036.9	6.3%	1,224.0	7.4%
Agency residential mortgage-backed securities	111.0	0.7%	154.9	0.9%
Non-agency residential mortgage-backed securities	1,354.0	8.3%	660.7	4.0%
U.S. Government	394.0	2.4%	930.3	5.6%
Other (primarily policy loans and derivatives)	408.6	2.5%	219.5	1.3%
Total investments	$ 16,374.2	100.0%	$ 16,556.5	100.0%

Fixed Maturity Securities

Insurance statutes regulate the type of investments that our life subsidiaries are permitted to make and limit the amount of funds that may be used for any one type of investment. In light of these statutes and regulations and our business and investment strategy, we generally seek to invest in United States government and government-sponsored agency securities and corporate securities rated investment grade by established nationally recognized statistical rating organizations (each, an "NRSRO") or in securities of comparable investment quality, if not rated.

As of June 30, 2013 and September 30, 2012, our fixed maturity AFS portfolio was approximately $15.7 billion and $16.1 billion, respectively. The following table summarizes the credit quality, by NRSRO rating, of our fixed income portfolio:

	June 30, 2013		September 30, 2012	
Rating	**Fair Value**	**Percent**	**Fair Value**	**Percent**
AAA	$ 1,266.4	8.3%	$ 1,842.3	11.4%
AA	2,559.3	16.3%	2,042.9	12.7%
A	4,150.2	26.4%	4,280.4	26.6%
BBB	5,925.0	37.7%	7,084.0	44.0%
BB	507.4	3.2%	459.0	2.9%
B and below	1,287.5	8.1%	380.3	2.4%
Total	$ 15,695.8	100.0%	$ 16,088.9	100%

The NAIC's Securities Valuation Office ("SVO") is responsible for the day-to-day credit quality assessment and valuation of securities owned by state regulated insurance companies. Insurance companies report ownership of securities to the SVO when such securities are eligible for regulatory filings. The SVO conducts credit analysis on these securities for the purpose of assigning an NAIC designation and/or unit price. Typically, if a security has been rated by an NRSRO, the SVO utilizes that rating and assigns an NAIC designation based upon the following system:

NAIC Designation	NRSRO Equivalent Rating
1	AAA/AA/A
2	BBB
3	BB
4	B
5	CCC and lower
6	In or near default

In November 2011, the NAIC membership approved continuation of a process developed in 2009 to assess non-agency RMBS for the 2011 filing year that does not rely on NRSRO ratings. The NAIC retained the services of PIMCO Advisory to model each non-agency RMBS owned by U.S. insurers at year end 2011 and 2010. PIMCO Advisory has provided 5 prices for each security for life insurance companies to utilize in determining the NAIC designation for each RMBS based on each insurer's statutory book value price. This process is used to determine the level of risk-based capital (“RBC”) requirements for non-agency RMBS.

The tables below present our fixed maturity securities by NAIC designation as of June 30, 2013 and September 30, 2012:

	June 30, 2013		
NAIC Designation	**Amortized Cost**	**Fair Value**	**Percent of Total Carrying Amount**
1	$ 9,041.7	$ 9,333.2	59.6%
2	5,727.7	5,812.0	37.0%
3	393.7	409.9	2.6%
4	84.7	83.3	0.5%
5	53.0	2.9	0.3%
6	2.0	4.5	—%
	$ 15,302.8	$ 15,695.8	100.0%

	September 30, 2012		
NAIC Designation	**Amortized Cost**	**Fair Value**	**Percent of Total Carrying Amount**
1	$ 8,070.1	$ 8,634.0	53.7%
2	6,569.1	7,047.4	43.8%
3	381.3	386.4	2.4%
4	8.5	8.8	0.1%
5	8.2	8.2	—%
6	3.8	4.1	—%
	$ 15,041.0	$ 16,088.9	100.0%

Unrealized Losses

The amortized cost and fair value of fixed maturity securities and equity securities that were in an unrealized loss position as of June 30, 2013 and September 30, 2012 were as follows:

	June 30, 2013			
	Number of Securities	**Amortized Cost**	**Unrealized Losses**	**Fair Value**
Fixed maturity securities, available for sale:				
United States Government full faith and credit	20	$ 204.2	$ (3.9)	$ 200.3
United States Government sponsored entities	13	7.7	(0.3)	7.4
United States municipalities, states and territories	69	479.8	(27.4)	452.4
Corporate securities:				
Finance, insurance and real estate	171	1,834.1	(69.6)	1,764.5
Manufacturing, construction and mining	45	484.1	(36.5)	447.6
Utilities and related sectors	69	513.2	(17.4)	495.8
Wholesale/retail trade	45	364.6	(12.9)	351.7
Services, media and other	55	497.0	(27.1)	469.9
Hybrid securities	9	119.1	(3.1)	116.0
Non-agency Residential mortgage backed securities	76	334.0	(9.3)	324.7
Commercial mortgage backed securities	8	29.4	(0.7)	28.7
Asset backed securities	49	382.7	(4.6)	378.1
Equity Securities	14	129.4	(4.5)	124.9
	643	$ 5,379.3	$ (217.3)	$ 5,162.0

September 30, 2012

	Number of securities	Amortized Cost	Unrealized Losses	Fair Value
Fixed maturity securities, available for sale:				
United States Government full faith and credit	6	$ 0.9	$ (0.2)	$ 0.7
United States Government sponsored agencies	10	7.3	(0.1)	7.2
United States municipalities, states and territories	18	72.3	(1.1)	71.2
Corporate securities:				
Finance, insurance and real estate	31	241.7	(4.9)	236.8
Manufacturing, construction and mining	10	95.6	(3.0)	92.6
Utilities and related sectors	7	48.5	(0.4)	48.1
Wholesale/retail trade	7	59.1	(1.3)	57.8
Services, media and other	4	21.9	(0.4)	21.5
Hybrid securities	8	130.7	(9.6)	121.1
Non-agency residential mortgage-backed securities	26	118.9	(4.3)	114.6
Commercial mortgage-backed securities	9	13.9	(2.4)	11.5
Asset-backed securities	17	178.9	(1.6)	177.3
Equity securities	3	45.7	(1.2)	44.5
	156	$ 1,035.4	$ (30.5)	$ 1,004.9

The gross unrealized loss position on the portfolio at June 30, 2013, was $217.3, and a decline from $30.5 million at September 30, 2012. The following is a description of the factors causing the unrealized losses as of June 30, 2013. Through June 30, 2013, Treasury yields climbed as concerns about the cessation of Federal Reserve stimulus affected market participants. Bond mutual fund flows turned sharply negative in the last months of the quarter, and fixed income security prices declined accordingly. Longer dated assets, such as municipal bonds, were particularly affected and account for $27.4 of the unrealized loss position; to date, this sector has not seen material price movements and we view the recent price action in municipal bonds as largely interest-rate related. Finance and finance-related corporates and hybrids remain the largest component of the $217.3 unrealized loss position. We view the increase in the unrealized loss position as a function of higher Treasury yields. The unrealized loss position in non-agency RMBS increased from $4.3 million to $9.3 million as the risk-off trade affected more market sensitive asset classes, and as concerns about the strength and duration of the housing recovery affected real estate sensitive assets. These recent developments notwithstanding, we continue to see the underlying fundamentals in this asset class as supportive, and ultimately, less subject to interest rate volatility. We continue to find opportunities in non-agency residential mortgage-backed holdings, generally targeting those securities with NAIC-1 ratings.

The amortized cost and fair value of fixed maturity securities and equity securities (excluding United States Government and United States Government sponsored agency securities) in an unrealized loss position greater than 20% and the number of months in an unrealized loss position with fixed maturity securities that carry an NRSRO rating of BBB/Baa or higher considered investment grade as of June 30, 2013, were as follows:

As of June 30, 2013 we held 6 securities that had unrealized losses greater than 20% that were in an unrealized loss position less than 6 months, we didn't hold any securities that were in an unrealized loss position greater than 6 months but less than 12 months and we held 2 securities that were in an unrealized loss position greater than 12 months. This included 6 investment grade securities (NRSRO rating of BBB/Baa or higher) with an amortized cost and estimated fair value of $33.6 million and $25.3 million, respectively as well as 2 securities below investment grade with an amortized cost and estimated fair value of $0.0 million and $0.0 million, respectively.

As of September 30, 2012 we held 4 securities that had unrealized losses greater than 20% that were in an unrealized loss position greater than 6 months and 1 security that was in an unrealized loss position greater than 12 months. This included 3 investment grade securities (NRSRO rating of BBB/Baa or higher) with an amortized cost and estimated fair value of $2.6 million and $0.9 million, respectively as well as 2 securities below investment grade with an amortized cost and estimated fair value of $0.8 million and $0.5 million, respectively.

Exposure to European Sovereign Debt

The Company had no exposure to European sovereign debt at June 30, 2013.

Other-Than-Temporary Impairments and Watch List

We have a policy and process in place to identify securities in our investment portfolio for which we should recognize impairments.

At each balance sheet date, we identify invested assets which have characteristics (i.e. significant unrealized losses compared to amortized cost and industry trends) creating uncertainty as to our future assessment of an other-than-temporary impairment. As part of this assessment we review not only a change in current price relative to its amortized cost but the issuer's current credit rating and the probability of full recovery of principal based upon the issuer's financial strength. Specifically for corporate issues we evaluate the financial stability and quality of asset coverage for the securities relative to the term to maturity for the issues we own. On a quarterly basis we review structured securities for changes in default rates, loss severities and expected cash flows for the purpose of assessing potential other-than-temporary impairments and related credit losses to be recognized in operations. A security which has a 20% or greater change in market price relative to its amortized cost and a possibility of a loss of principal will be included on a list which is referred to as our watch list. At June 30, 2013 and September 30, 2012, our watch list included only 10 and 9 securities in an unrealized loss position with an amortized cost of $33.6 million and $4.0 million, unrealized losses of $8.4 million and $1.5 million, and fair value of $25.3 million and $2.5 million, respectively.

There were 6 and 9 structured securities on the watch list as of June 30, 2013 and September 30, 2012, respectively. Our analysis of these structured securities included cash flow testing results which demonstrated the June 30, 2013 carrying values were fully recoverable.

AFS Securities

For additional information regarding our AFS Securities, including the amortized cost, gross unrealized gains (losses), and fair value of AFS securities as well as the amortized cost and fair value of fixed maturity AFS securities by contractual maturities as of June 30, 2013 refer to Note 4, “Investments” of the Notes to Consolidated Financial Statements, herein.

Net Investment Income and Net Investment Gains

For discussion regarding our net investment income and net investment gains refer to Note 4, “Investments” of the Notes to Consolidated Financial Statements, herein.

Concentrations of Financial Instruments

For detail regarding our concentration of financial instruments refer to Note 3, “Significant Risks and Uncertainties” of the Notes to Condensed Consolidated Financial Statements, herein.

Derivatives

For additional information regarding our derivatives refer to Note 5, “Derivative Financial Instruments” of the Notes to Consolidated Financial Statements, herein.

We are exposed to credit loss in the event of nonperformance by our counterparties on the call options. We attempt to reduce the credit risk associated with such agreements by purchasing such options from large, well-established financial institutions.

We will also hold cash and cash equivalents received from counterparties for call option collateral, as well as Government securities pledged as call option collateral, if our counterparty's net exposures exceed pre-determined thresholds. See Note 5, “Derivative Financial Instruments” for additional information regarding our exposure to credit loss on call options

Liquidity and Capital Resources

We conduct all our operations through operating subsidiaries. Dividends from our subsidiaries are the principal sources of cash to pay dividends to HGI and to meet our holding company obligations. Other principal sources of cash include sales of assets. In addition, we may issue debt and/or equity in the future to grow its business and/or pursue acquisition activities.

Our primary uses of funds at our holding company level include payment of general operating expenses, payment of

principal, interest and other expenses related to holding company debt, payment of stockholder dividends and contributions to subsidiaries. As of June 30, 2013 the Company has adequate resources to meet our short-term and long-term cash requirements.

On March 31, 2013, our wholly owned subsidiary, Fidelity & Guaranty Life Insurance Company, (“FGLIC”), issued a surplus note to us in the principal amount of $195.0 million. On May 8, 2013, the Maryland Insurance Administration (“MIA”) granted FGLIC approval to execute the note and record the surplus note effective as of the quarter ended March 31, 2013. We funded the $195.0 million surplus note using a portion of the $300.0 million of the senior note proceeds discussed above. The surplus note carries an interest rate of 6.5% per annum and the interest payments will be applied to payment of obligations to our debt holders.

The liquidity requirements of our regulated insurance subsidiaries principally relate to the liabilities associated with their various insurance and investment products, operating costs and expenses, the payment of dividends to the holding company and income taxes. Liabilities arising from insurance and investment products include the payment of benefits, as well as cash payments in connection with policy surrenders and withdrawals, policy loans and obligations to redeem funding agreements.

Our insurance subsidiaries have used cash flows from operations and investment activities to fund their liquidity requirements. Our insurance subsidiaries' principal cash inflows from operating activities are derived from premiums, annuity deposits and insurance and investment product fees and other income. The principal cash inflows from investment activities result from repayments of principal, investment income and, as necessary, sales of invested assets.

Our insurance subsidiaries maintain investment strategies intended to provide adequate funds to pay benefits without forced sales of investments. Products having liabilities with longer durations, such as certain life insurance, are matched with investments having similar estimated lives such as long-term fixed maturity securities. Shorter-term liabilities are matched with fixed maturity securities that have short- and medium-term fixed maturities. In addition, our insurance subsidiaries hold highly liquid, high-quality short-term investment securities and other liquid investment grade fixed maturity securities to fund anticipated operating expenses, surrenders and withdrawals.

The ability of our subsidiaries to pay dividends and to make such other payments is limited by applicable laws and regulations of the states in which its subsidiaries are domiciled, which subject its subsidiaries to significant regulatory restrictions. These laws and regulations require, among other things, our insurance subsidiaries to maintain minimum solvency requirements and limit the amount of dividends these subsidiaries can pay. Along with solvency regulations, the primary driver in determining the amount of capital used for dividends is the level of capital needed to maintain desired financial strength ratings from the rating agencies.

In that regard, we may limit dividend payments from our major insurance subsidiary to the extent necessary for its risk based capital ratio to be at a level anticipated by the ratings agencies to maintain or improve its current rating. Given recent economic events that have affected the insurance industry, both regulators and rating agencies could become more conservative in their methodology and criteria, including increasing capital requirements for our insurance subsidiaries which, in turn, could negatively affect the cash available to us from its insurance subsidiaries and, in turn, to HGI. We monitor our insurance subsidiaries' compliance with the risk based capital requirements specified by the National Association of Insurance Commissioners (the "NAIC"). As of June 30, 2013, each of our insurance subsidiaries has exceeded the minimum risk based capital requirements.

Consolidated Cash Flow Activities

The following table sets forth our condensed consolidated cash flows for the nine months ended June 30, 2013 and June 30, 2012:

	Fiscal Nine Months	
	2013	**2012**
Net cash provided by operating activities	$ 122.3	$ 188.9
Net cash (used in) provided by investing activities	(238.9)	437.1
Net cash provided by financing activities	21.9	115.6
Net increase in cash	$ (94.7)	$ 741.6

Operating Activities

Cash provided by operating activities totaled $122.3 million for the Fiscal 2013 Nine Months as compared to cash provided of $188.9 million for the Fiscal 2012 Nine Months. The $66.6 million decrease in cash provided by operating activities is primarily due to a decrease in the funds withheld from reinsurers of $363.1 million related to the reinsurance arrangement with Front Street Re as well as a $114.2 million decrease in interest credited/index credit to contractholder account balances, partially offset by an increase in deferred income taxes of $168.4 million and an increase in changes of other operating of $51.5 million. Also offsetting above increases was cash received from reinsurers of $15.0 million during the Fiscal 2013 Nine Months relating to the Front Street Re transaction compared to a $176.8 million payment of cash to reinsurers relating to Wilton Re reinsurance transaction in the Fiscal 2012 Nine Months.

Investing Activities

Cash used in investing activities was $238.9 million for the Fiscal 2013 Nine Months, as compared to cash provided of $437.1 million for the Fiscal 2012 Nine Months. The $676.0 million decrease in cash provided by investing activities is principally due to $703.4 million decrease in cash provided from sales, maturities and repayments, net of purchases of fixed maturity and equity securities.

Financing Activities

Cash provided by financing activities was $21.9 million for the Fiscal 2013 Nine Months as compared to cash provided of $115.6 million for the Fiscal 2012 Nine Months. The $93.8 million decrease is primarily the result of a $405.6 million decrease in the issuance of, net of redemptions and benefit payments on, investment contracts including annuity and universal life insurance contracts offset by $300.0 million of proceeds from issuance of new debt.

Our Indebtedness

Note payable to affiliate

On February 25, 2009, FGL and OMGUK entered into an intercompany term loan agreement for $225.0 million and a revolving credit facility agreement for $100.0 million. Effective April 6, 2011, a deed of novation was entered into as part of the sale of FGL to HFG whereby OM Group (UK) Limited transferred all of its rights, obligations and liabilities under the intercompany loan agreements to HFG. On February 28, 2013, HFG and FGL entered into a termination and release agreement whereby HFG notified FGL of its election to convert the loans to equity. Accordingly, the Company converted the balance of the note payable and revolving credit facility as of February 28, 2013 of $213.3 million to equity on February 28, 2013. This resulted in an increase in the Company's paid in capital without issuance of stock as FGL is a wholly owned subsidiary of HFG. No gain or loss was recognized on the conversion of the debt.

Long term debt

In March 2013, we issued $300.0 million aggregate principal amount of 6.375% senior notes due April 1, 2021, at par value. Interest is payable semi-annually on April 1 and October 1 of each year, commencing October 1, 2013. We expect to use the proceeds from the issuance of the notes for general corporate purposes and to support the growth of our subsidiary life insurance company. With the net proceeds received from the issuance, we paid HGI a $73.0 million dividend in March 2013.

In connection with the 6.375% senior notes, we capitalized $10.2 million of debt issue costs. The fees are classified as "Other assets" in the accompanying condensed consolidated Balance Sheets as of June 30, 2013 and will be amortized to interest expense on a straight-line basis over the remaining term of the debt.

Off Balance Sheet Arrangements

We do not have any off balance sheet arrangements as of June 30, 2013.

New Accounting Standards

See Note 2, "Significant Accounting Policies and Practices" to our consolidated financial statements for a discussion of recent accounting pronouncements that have been issued and will be implemented in the future.

ITEM 3: Quantitative and Qualitative Disclosures about Market Risk

Market Risk Factors

Market risk is the risk of the loss of fair value resulting from adverse changes in market rates and prices, such as interest rates, foreign currency exchange rates, commodity price and equity prices. Market risk is directly influenced by the volatility and liquidity in the markets in which the related underlying financial instruments are traded.

We are primarily exposed to interest rate risk and equity price risk. In addition, we have some exposure to credit risk and counterparty risk, which affect the fair value of financial instruments subject to market risk.

Market Risk Discussion with Sensitivity Analysis

The following discusses our market risk exposures, risk management practices, and sensitivity analysis across each market risk exposure category:

Interest Rate Risk

Exposure and Risk Management

Interest rate risk is our primary market risk exposure. Substantial and sustained increases or decreases in market interest rates can affect the profitability of our insurance products and fair value of investments, as the majority of our insurance liabilities are backed by fixed maturity securities.

The profitability of most of our products depends on the spreads between interest yield on investments and rates credited on insurance liabilities. We have the ability to adjust the rates credited (primarily caps and credit rates) on substantially all of the annuity liabilities at least annually (subject to minimum guaranteed values). In addition, substantially all of the annuity products have surrender and withdrawal penalty provisions designed to encourage persistency and to help ensure targeted spreads are earned. However, competitive factors, including the impact of the level of surrenders and withdrawals, may limit our ability to adjust or maintain crediting rates at levels necessary to avoid narrowing of spreads under certain market conditions.

In order to meet its policy and contractual obligations, we must earn a sufficient return on its invested assets. Significant changes in interest rates expose us to the risk of not earning anticipated interest earnings, or of not earning anticipated spreads between the interest rate earned on investments and the credited interest rates paid on outstanding policies and contracts. Both rising and declining interest rates can negatively affect our interest earnings, spread income, as well as the attractiveness of certain products.

During periods of increasing interest rates, we may offer higher crediting rates on interest-sensitive products, such as indexed universal life insurance and fixed annuities, and it may increase crediting rates on in-force products to keep these products competitive. A rise in interest rates, in the absence of other countervailing changes, will result in a decline in the market value of our investment portfolio.

As part of our asset/liability management program, significant effort has been made to identify the assets appropriate to different product lines and ensure investing strategies match the profile of these liabilities. As such, a major component of managing interest rate risk has been to structure the investment portfolio with cash flow characteristics consistent with the cash flow characteristics of the insurance liabilities. We use actuarial models to simulate cash flows expected from the existing business under various interest rate scenarios. These simulations enable us to measure the potential gain or loss in fair value of interest rate-sensitive financial instruments, to evaluate the adequacy of expected cash flows from assets to meet the expected cash requirements of the liabilities and to determine if it is necessary to lengthen or shorten the average life and duration of our investment portfolio. The "duration" of a security is the time weighted present value of the security's expected cash flows and is used to measure a security's sensitivity to changes in interest rates. When the durations of assets and liabilities are similar, exposure to interest rate risk is minimized because a change in value of assets should be largely offset by a change in the value of liabilities.

Sensitivity analysis

Sensitivity analysis measures the impact of hypothetical changes in interest rates and other market rates or prices on the profitability of market-sensitive financial instruments.

If interest rates were to increase one percentage point from levels at June 30, 2013, we estimate that the fair value of fixed maturity securities would decrease by approximately $867.4 million. The impact on stockholders' equity of such decrease (net of income taxes and VOBA and DAC adjustments) would be a decrease of $324.1 million in accumulated other comprehensive income and stockholders' equity. If interest rates were to decrease by one percentage point from levels at June 30, 2013, we estimate the impact on the embedded derivative liability of such a decrease would be an increase of $103.4 million. The actuarial models used to estimate the impact of a one percentage point change in market interest rates incorporate numerous assumptions, require significant estimates and assume an immediate and parallel change in interest rates without any management of the investment portfolio in reaction to such change. Consequently, potential changes in value of financial instruments indicated by the simulations will likely be different from the actual changes experienced under given interest rate scenarios, and the differences may be material. Because we actively manage our investments and liabilities, the net exposure to interest rates can vary over time. However, any such decreases in the fair value of fixed maturity securities (unless related to credit concerns of the issuer requiring recognition of an other-than-temporary impairment) would generally be realized only if we were required to sell such securities at losses prior to their maturity to meet liquidity needs, which we manage using the surrender and withdrawal provisions of the annuity contracts and through other means. See “Financial Condition-Liquidity for Insurance Operations” for a further discussion of the liquidity risk.

Equity Price Risk

Exposure and Risk Management

We are primarily exposed to equity price risk through certain insurance products that are exposed to equity price risk, specifically those products with guaranteed minimum withdrawal benefits. We offer a variety of fixed indexed annuity contracts (the “FIA Contracts”) with crediting strategies linked to the performance of indices such as the S&P 500 Index, Dow Jones Industrials or the NASDAQ 100 Index. The estimated cost of providing guaranteed minimum withdrawal benefits incorporates various assumptions about the overall performance of equity markets over certain time periods. Periods of significant and sustained downturns in equity markets, increased equity volatility, or reduced interest rates could result in an increase in the valuation of the future policy benefit or policyholder account balance liabilities associated with such products, resulting in a reduction in our net income. The rate of amortization of VOBA related to fixed indexed annuity products and the cost of providing guaranteed minimum withdrawal benefits could also increase if equity market performance is worse than assumed.

To economically hedge the equity returns on these products, we use a portion of the deposit made by policyholders pursuant to the FIA Contracts to purchase derivatives consisting of a combination of call options and future contracts on the equity indices underlying the applicable contracts. Our hedging strategy enables us to reduce our overall hedging costs and achieve a high correlation of returns on the derivatives purchased relative to the index credits earned by the FIA contractholders. The derivatives are used to fund the FIA contract index credits and the cost of the options purchased is treated as a component of spread earnings. To the extent index credits earned by the contractholder exceed the proceeds from option expirations and futures income; we incur a raw hedging loss. The majority of the call options are one-year options purchased to match the funding requirements underlying the FIA Contracts. We attempt to manage the costs of these purchases through the terms of its FIA Contracts, which permit us to change caps, spreads or participation rates, subject to certain guaranteed minimums that must be maintained. See Note 5, “Derivative Financial Instruments” to the Consolidated Financial Statements for additional details on the derivatives portfolio.

Fair value changes associated with these investments intend to, but do not always substantially offset the increase or decrease in the amounts added to policyholder account balances for index products. For the nine month period ended June 30, 2013, the annual index credits to policyholders on their anniversaries were $216.3 million. Proceeds received at expiration on options related to such credits were $200.9 million. The shortfall is funded by FGL's investment spread earnings and futures income.

Other market exposures are hedged periodically depending on market conditions and our risk tolerance. Our FIA hedging strategy economically hedges the equity returns and exposes us to the risk that unhedged market exposures result in divergence between changes in the fair value of the liabilities and the hedging assets. We use a variety of

techniques including direct estimation of market sensitivities and value-at-risk to monitor this risk daily. We intend to continue to adjust the hedging strategy as market conditions and our risk tolerance change.

Sensitivity Analysis

One means of assessing exposure to changes in equity market prices is to estimate the potential changes in market values on the derivative investments resulting from a hypothetical broad-based decline in equity market prices of 10%. Under this model, with all other factors constant, we estimate that a decline in equity market prices of 10% would cause the market value of the derivative instruments to decrease by approximately $48.2million based on equity positions as of June 30, 2013.

Credit Risk

Credit risk refers to the risk that a counterparty will default on its contractual obligation resulting in financial loss. The major source of credit risk arises predominantly in our insurance operations' portfolios of debt and similar securities. Credit risk for these portfolios is managed with reference to established credit rating agencies with limits placed on exposures to below investment grade holdings. See “Financial Condition” for additional information about credit risk in the investment portfolio.

Counterparty Credit Risk

In connection with the use of call options, we are exposed to counterparty credit risk (the risk that a counterparty fails to perform under the terms of the derivative contract). We have adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral where appropriate, as a means of mitigating the financial loss from defaults. Our exposure and credit rating of our counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst seven different approved counterparties to limit our concentration in one counterparty. Our policy allows for the purchase of derivative instruments from nationally recognized investment banking institutions with the equivalent of an S&P rating of A- or higher. Collateral support documents are negotiated to further reduce the exposure when deemed necessary. See Note 5, “Derivative Financial Instruments” to the Consolidated Financial Statements for additional information regarding our exposure to credit loss.